# Chapter 16 — ML in Production: Pipelines, Serving, Evaluation, Monitoring and MLOps

Fitting a model in a notebook is a small slice of the job. The rest is machinery: trustworthy labels, identical features for training and live traffic, deciding when predictions are computed, fast serving with a fallback, the metric that proves one model beats another, alarms for quiet decay, and safe releases. This chapter builds each piece for **predictive** models (scores, labels, numbers), then assembles them into a delivery-time (ETA) platform.

**What you'll learn**

1. The five pieces of a predictive ML system and the offline/online divide.
2. Training vs serving, and training–serving skew (leakage demo).
3. Labels: natural, behavioural, human, LLM-assisted; imbalance and recalibration; negatives; splits; privacy.
4. Feature groups, encodings, batch vs streaming features, feature stores, request-time features.
5. Batch, online and streaming inference; precompute-then-rerank.
6. Serving: latency budgets, batching, caching, rollout, hardware, compression, fallbacks.
7. Offline metrics for classification, ranking and regression; thresholds; calibration; baselines.
8. Monitoring, drift (PSI, KS), retraining, feedback loops.
9. A/B tests: power, peeking, guardrails, interleaving, switchbacks, bandits.
10. MLOps: tracking, registry, data validation, CI/CD/CT, shadow and canary.
11. Capstone: an ETA prediction platform.

Embeddings and two-tower retrieval belong to Chapter 13. All code is in `code/`; outputs below are real.

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## 16.1 The five pieces and the offline/online divide

### What it is

Recommenders, fraud detectors and ETA predictors all decompose into five parts:

| Piece | Job |
|---|---|
| 1. **Training pipeline** | Builds a dataset, fits a model and scores it, on a schedule or when triggered |
| 2. **Feature layer** | Code plus storage converting raw events into model inputs |
| 3. **Inference path** | Everything that happens between a request and its score |
| 4. **Serving platform** | The machines, routing and autoscaling behind live traffic |
| 5. **Monitoring loop** | Signals that reveal degradation and help you diagnose it |

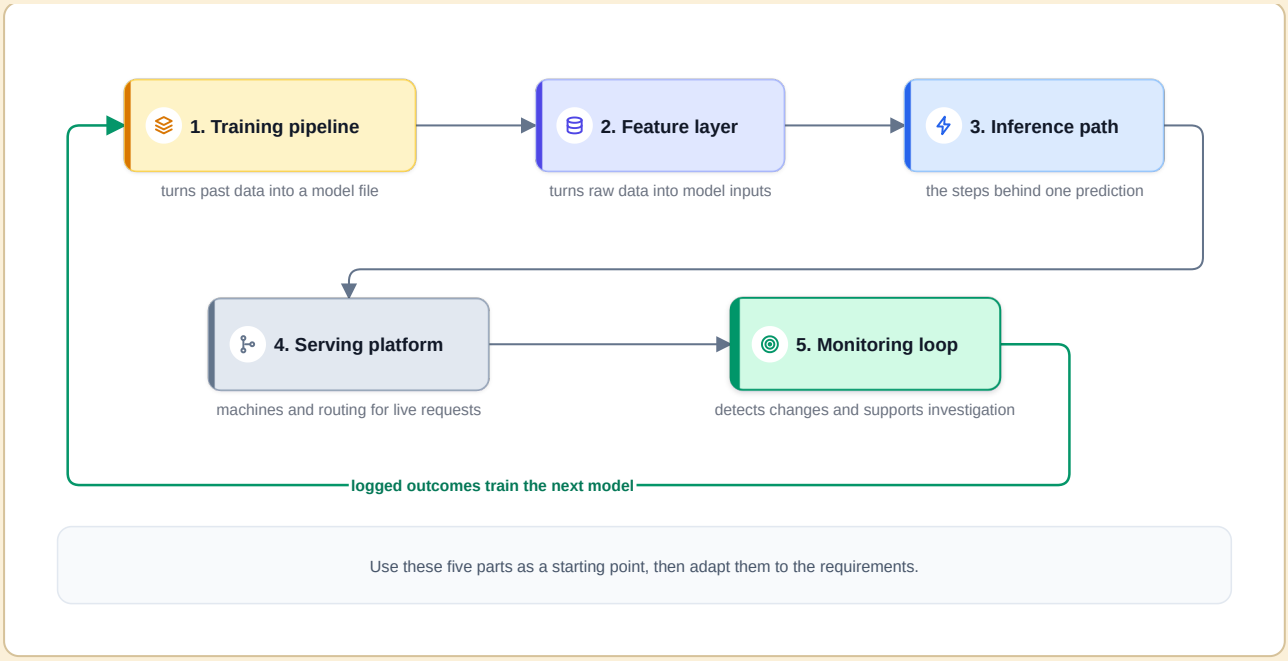



*Figure — Five building blocks of a predictive ML system (course diagram)*

## How it works — one prediction, start to finish

Delivery-time estimate at checkout:

1. The customer opens checkout; the app calls the prediction service.
2. The service gathers features — some from storage, some computed from the request.
3. It arranges them in exactly the order and format the model expects.
4. The model returns a number, say 34 minutes.
5. Business rules adjust it (e.g. add a buffer) and it's shown.
6. The service logs features, prediction, model version and order id.
7. ~40 minutes later the food arrives — the true delivery time (the **label**) is now known.
8. Overnight, the training pipeline joins logged features with actual times.
9. A fresh candidate is fitted and evaluated; it replaces the current model only if it wins.

Steps 1–6 live inside a **latency budget** — the product decides how many milliseconds the whole prediction path may take. Steps 7–9 run hours or days afterwards, and that gap is the thread running through this chapter.

### The offline/online divide

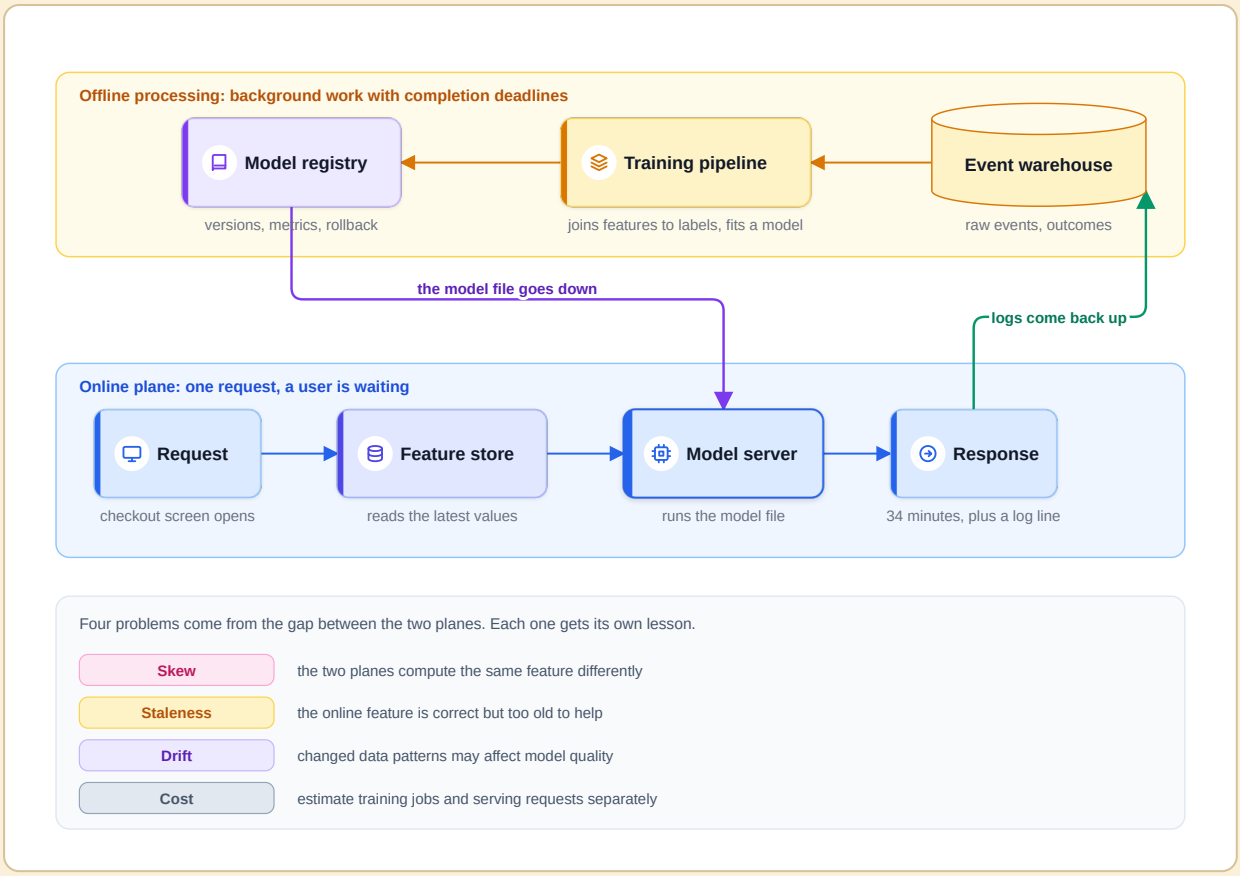



*Figure — Offline and online planes: model goes down, logs come up (course diagram)*

- **Offline plane**: background jobs over history (training, batch inference) — throughput and completion deadlines.
- **Online plane**: live requests under a response-time limit.
- The **model artifact** crosses offline → online; **prediction logs + outcomes** cross back. Schemas, feature definitions and config are shared.

Four problems live at this boundary:

| Problem | Meaning | Section |
|---|---|---|
| **Skew** | A feature is computed differently in training and serving | 16.2 |
| **Staleness** | A feature is correct but old (hourly average when the kitchen got busy 10 min ago) | 16.4 |
| **Drift** | Data or input→outcome relationships change; quality falls while the service is "up" | 16.8 |
| **Cost** | Training cost (job size × frequency) and serving cost (traffic × hardware × utilisation) are separate and both need estimates | 16.5, 16.6 |

Vocabulary: a **feature** is a model input derived from raw data (order events are raw; "orders this restaurant took in the past half hour" is a feature). A **label** is the outcome being predicted — delivery minutes, a click — and may be imperfect (a chargeback is not always fraud). A **training example** is one row of features plus its label.

#### Self-check

1. Which two things cross the offline/online boundary? → The model artifact (to serving) and prediction/outcome logs (to training).
2. Why can't the label be used at prediction time? → It doesn't exist yet — the delivery hasn't happened.
3. Name the four divide problems. → Skew, staleness, drift, cost.

### TL;DR

Five pieces; two planes; model goes down, logs come back up; skew, staleness, drift and cost live at the boundary.

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## 16.2 Training vs serving

### What it is

Two systems with different jobs that share artifacts. **Training** consumes history and emits a model artifact; **serving** picks up that artifact and responds to live traffic.

| | Training | Serving |
|---|---|---|
| Runs | Scheduled (nightly/weekly) or triggered | Continuously, per request |
| Optimises for | Throughput over large datasets | Latency and availability |
| Hardware | Big GPU or high-memory clusters; cheap spot machines work if the job checkpoints and resumes | Always-on CPUs or small GPUs, sized reliably for the SLO |
| When it breaks | The new model is late and the previous one stays live (how urgent depends on how quickly it goes stale) | Users see errors and on-call is paged — a safe fallback is required |
| Data | Months/years of history | This request's inputs, now |

Draw them as two separate groups from the start.

### How it works — the training pipeline

A scheduled workflow (Airflow, Kubeflow Pipelines, Dagster, cloud equivalents) with four stages:

1. **Data preparation** — read raw events from the warehouse or lake and assemble rows that pair feature values **as of the prediction moment** with the label that showed up later. Test this hard: one wrong join quietly poisons everything downstream.
2. **Training** — for tabular data a **GBDT** (gradient-boosted decision trees: many small trees, each fixing the previous ones' errors) is the strong default; a modest neural net is the other common choice. Too much data or time for one machine → distributed training: **data parallelism** (examples split across workers, each holding the full model) or **model parallelism** (the model itself split across devices).
3. **Evaluation** — score the candidate on **held-out** data and compare with production on quality, latency, cost and safety. Equally good but cheaper is also a valid release.
4. **Registration** — store the approved model in a **model registry** with version, metrics and **lineage** (which data and code produced it). Rollback needs compatible features, dependencies and config too — not just the old file.

Propose a retraining cadence with a reason ("daily — labels arrive within the hour, demand shifts weekly") and say you'll validate it against label availability, measured decay and compute cost.

### How it works — the serving path

Request → features fetched/computed → model runs → prediction returned and logged. Budget the **entire** path; with small models, fetching features often takes longer than inference. Service hygiene still applies: **timeouts**, a **fallback** score (default or cached), horizontal scaling, versioned releases.

One product decision to state explicitly: does the model **fail closed** (block when unsure/unavailable — safer for high-risk payments) or **fail open** (allow — better customer experience)? Name it and why.

### Training–serving skew

**Skew** means the inputs at serving time differ from the inputs the model learned from. Quality drops while the error logs stay empty. Three sources:

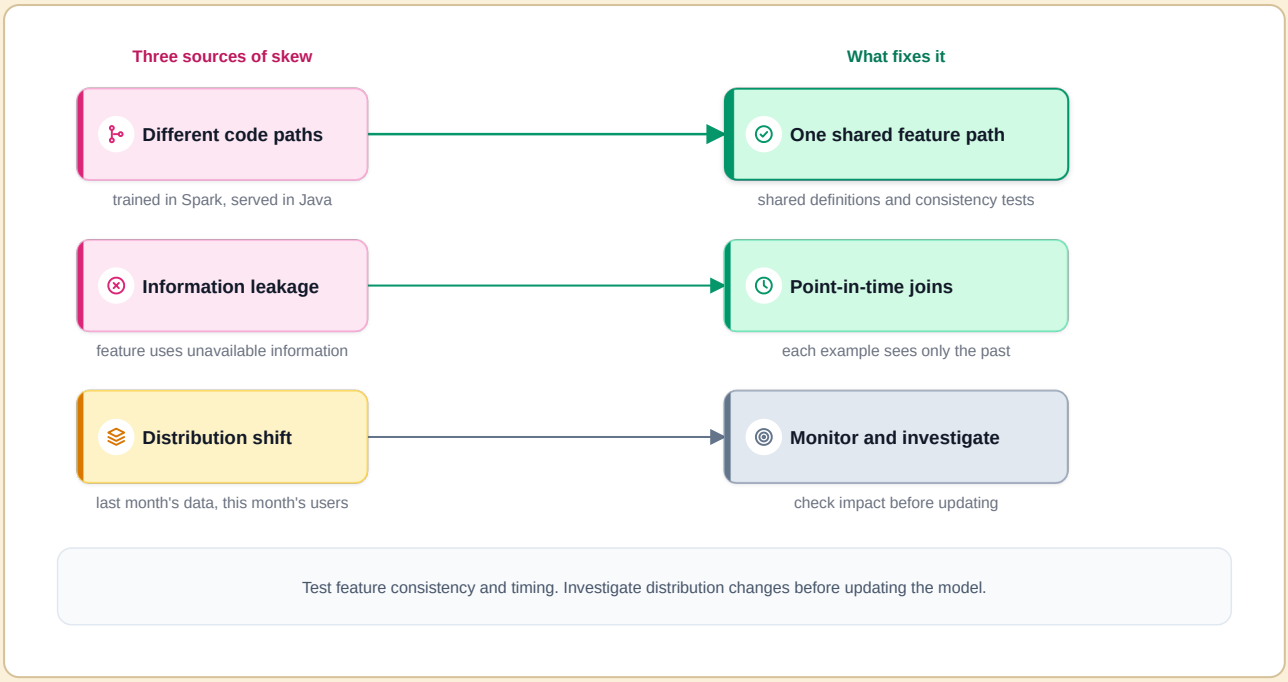



*Figure — Skew: causes and remedies (course diagram)*

| Source | Example | Fix |
|---|---|---|
| **Different code paths** | Spark/Python feature for training, rewritten in Java for serving, with a different null default, rounding or time zone | Shared, tested feature definitions; consistency tests comparing both paths |
| **Information leakage** | A "today's average delivery time for this restaurant" feature built from the full day's orders, so it already contains the order being predicted | **Point-in-time-correct joins**: each example sees only data that existed at its timestamp |
| **Distribution shift** | Trained on last month, serving this month | Not a bug, same symptom — monitoring and retraining (16.8) |

*Rules of ML*: **#29** — log the features used at serving time and train on those logs; **#32** — reuse code between training and serving; **#37** — measure training/serving skew. Logs can still be incomplete or mis-joined, but this removes the biggest source.

### Code — leakage vs point-in-time join (`code/point_in_time_join.py`)

The as-of join uses `pandas.merge_asof`: for each order, take the running mean of same-restaurant, same-day orders that had **finished before** this one was placed.

```python
def pit_feature(df):
    done = df[["rest", "day", "done_h", "minutes"]].sort_values("done_h").copy()
    done["cum_sum"] = done.groupby(["rest", "day"])["minutes"].cumsum()
    done["cum_n"] = done.groupby(["rest", "day"]).cumcount() + 1
    left = df[["rest", "day", "placed_h"]].reset_index().sort_values("placed_h")
    j = pd.merge_asof(left, done[["rest", "day", "done_h", "cum_sum", "cum_n"]],
                      left_on="placed_h", right_on="done_h", by=["rest", "day"],
                      direction="backward", allow_exact_matches=False)   # strictly before
    j = j.set_index("index").sort_index()
    return (j["cum_sum"] / j["cum_n"]).to_numpy()     # NaN = nothing finished yet today

df["avg_today_LEAKY"] = df.groupby(["rest", "day"])["minutes"].transform("mean")  # whole day!
df["avg_today_PIT"] = pit_feature(df)
# ... temporal split (last 12 days = test), fit one GBDT per feature version
```

Output:

```
   placed_h  rest  minutes  avg_today_LEAKY  avg_today_PIT
0      10.0    20     31.3             34.1            NaN
1      10.0    31     36.6             44.5            NaN
...
PIT feature missing (no finished orders yet today): 15.0%

setup                                        MAE (min)
distance only (no daily feature)             5.88
LEAKY model, offline test (looks amazing)    3.60
LEAKY model, fed real serving features       4.91
PIT model, offline = what serving will see   4.67
```

The leaky model wins offline (3.60) but, fed the values that exist at serving time, it's *worse* (4.91) than the point-in-time model (4.67), whose offline number honestly forecasts production. The honest feature is **missing** 15% of the time (first orders of the day), so the model must learn to handle that.

## Trade-offs

| Choice | Benefit | Cost |
|---|---|---|
| Frequent retraining | Fresher model | Compute, evaluation load, release risk |
| Train on logged serving features | Removes most skew | Log volume, privacy review, no logs yet for new features |
| Separate training/serving teams | Specialisation | Handoff skew — needs shared definitions |

## Common mistakes

- Evaluating on a random split of time-ordered data.
- Rewriting feature logic for serving "because it's faster in Java".
- No fallback: the checkout hangs when the model service is slow.

## In the interview

**30-second answer** ("walk me through the ML architecture"): *"Offline, a scheduled job assembles examples with features frozen at prediction time, fits a candidate, compares it with what's live, and registers it with lineage. Online, a stateless service computes features from the same definitions, calls the model within a time budget with timeout and fallback, and logs features, output and version. Artifacts travel to serving; logs and outcomes travel back."*

- **"Why not train continuously?"** → Freshness value vs label delay, compute and evaluation burden; online learning needs guards (16.8).
- **"First model with no logs?"** → Historical data if any; otherwise a rule-based baseline that starts collecting data — with selection bias (you only see outcomes for what the rules allowed).

### Self-check

1. What's a point-in-time-correct join? → Joining each example only with feature values that existed at its prediction timestamp.
2. Why did the leaky model look better offline? → Its feature partly contained the label (the day's average included this order and later ones).
3. What does a registry store besides the file? → Version, metrics, lineage (data + code), stage.
4. Fail open vs closed for card fraud? → Risk appetite: often open for small amounts with rules as backstop, closed/review for high-risk ones — say who decides.

### TL;DR

Four-stage pipeline ending in a registry; serving with budget, timeout, fallback, logging; kill skew with shared definitions, point-in-time joins and training on logged serving features.

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## 16.3 Where training data comes from

### What it is

A supervised model is only as good as the pipeline that attaches an outcome to each feature row. Expect probes on the labels' source, delay and cost.

| Source | Examples | Cost | Delay | Main weakness |
|---|---|---|---|---|
| **Natural labels** (observed outcomes) | Delivery duration, chargeback, cancellation | Logging + validation | Minutes to weeks | Late, incomplete; a chargeback is evidence, not proof |
| **Behavioural labels** | Clicks, skips, saves, watch time | Logging + processing | Often seconds | Indirect (click ≠ satisfaction); only covers what the system chose to show |
| **Human annotation** | Relevance grades, moderation decisions | Roughly a few cents up to a few dollars each | Hours to days | Budget caps how much gets labelled; reviewers need quality control |

Chip Huyen calls the prediction-to-label gap the **feedback loop length** — short for ETAs and clicks, long for fraud and churn. Label delay doesn't stall training; it means only "mature" examples (old enough to have a label) are used, and outcome monitoring lags by the same amount.

#### Human labelling is a system, not a task

- **Versioned guidelines** — a label means what the guideline says; record its version in dataset lineage, because redefining "spam" breaks metric comparisons across that change.
- **Inter-annotator agreement** — several reviewers label the same items (e.g. Cohen's κ for two raters). Low agreement usually signals an unclear guideline, hard items or missing context; high agreement ≠ correctness.
- **Gold questions** — items with known answers seeded into the queue track each reviewer's accuracy over time.
- **Active learning** — spend labels where they're worth most: items the model is least sure about, disagreements, new product areas.

- **Reuse existing queues** — fraud analysts already make decisions; record context and uncertainty, validate and version before training on them.
- **Weak supervision** (e.g. Snorkel-style labelling functions — heuristics that vote) yields many noisy labels cheaply; audit them the same way.

### LLM-assisted labelling

Given the written guideline, an LLM proposes labels fast. In production it's **tiered**, not a replacement: the LLM labels eligible items, humans check a random sample plus low-confidence or contested ones, and accuracy is measured against human-reviewed sets **per important subgroup**. The catch: LLM errors are **correlated** — one blind spot repeated a million times (dialects, specialist topics, adversarial content). Keep human audit slices, re-measure whenever prompt, model or policy changes, and check privacy rules before sending data to any model.

### Class imbalance

Suppose 0.2% of transactions are fraud (1 in 500): always predicting "legit" scores 99.8% accuracy, and most compute goes on easy negatives.

- **Downsample negatives**: keep every positive and a fraction $w$ of negatives (say 10%). Data shrinks ~10×; positive share rises from 0.2% to ~2%.
- **Scores are now inflated** (fraud looks ~10× more common). If scores are used as probabilities (dollar thresholds, auctions), **recalibrate**: the odds were multiplied by 1/w, so **$p = w \cdot q \,/\, (w \cdot q + 1 - q)$**, where q is the downsampled model's score — or fit Platt/isotonic calibration on held-out data at the real base rate. (Rules of ML **#30**: importance-weight sampled data, don't drop it arbitrarily.)
- **Reweighting** is the alternative: keep all data but weight positives more in the **loss function** (the quantity training minimises). More compute, no resampling.
- Evaluate with **precision and recall**, not accuracy (16.7).

### Code — downsample, recalibrate, check (`code/imbalance_calibration.py`)

```
w = 0.10
keep = (ytr == 1) | (rng.random(len(ytr)) < w)               # all fraud, 10% of legit
model = LogisticRegression(max_iter=1000).fit(Xtr[keep], ytr[keep])
q = model.predict_proba(Xte)[:, 1]
p_corrected = w * q / (w * q + 1 - q)                        # undo the 1/w odds inflation

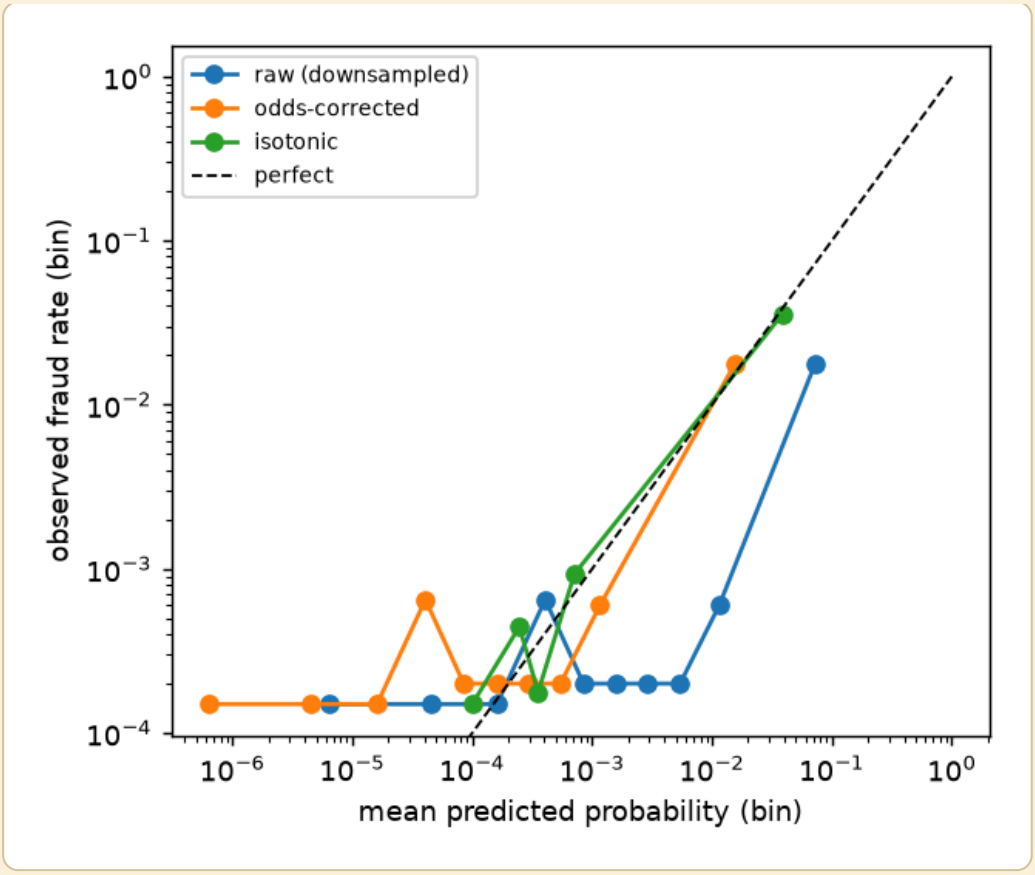
# or learn the mapping on held-out data with the true base rate (scikit-learn >= 1.6)
cal_platt = CalibratedClassifierCV(FrozenEstimator(model), method="sigmoid").fit(Xcal, ycal)
cal_iso = CalibratedClassifierCV(FrozenEstimator(model), method="isotonic").fit(Xcal, ycal)
```

Output:

```
base rate: 0.200%
'always legit' accuracy: 99.80%  (catches 0 fraud)

downsampled train: 30,732 rows (was 300,000), positive share 1.94%

scores                         mean  PR-AUC     Brier  logloss      ECE
(true rate)                  0.0020
raw (downsampled)            0.0095   0.653  0.001610   0.0119  0.00758
odds-corrected (w=0.1)       0.0018   0.653  0.001093   0.0063  0.00044
Platt on held-out            0.0021   0.653  0.001016   0.0062  0.00038
isotonic on held-out         0.0021   0.624  0.001020   0.0061  0.00020
-> ranking (PR-AUC) is identical for raw and corrected: calibration is a separate property
```




Reading it: raw scores average 0.95% against a true 0.2% (≈5× too high); the formula and Platt restore ~0.2% and nearly halve log-loss. Monotonic fixes leave PR-AUC unchanged (ranking ≠ calibration); isotonic's small drop comes from ties in its step function. (`FrozenEstimator` replaced `cv="prefit"` in scikit-learn 1.6.) **ECE** (expected calibration error) = weighted average gap between mean score and observed rate per bin; **Brier** = mean squared error of probabilities.

### Manufacturing negatives (retrieval)

Logs show clicks, never the vast catalogue a user ignored, so retrieval models (two-tower, Chapter 13) need manufactured negatives: **random** (easy, teaches little about close calls); **in-batch** (other users' positives in the batch — cheap, but popular items are over-represented, so apply a **popularity/sampling-bias correction** or the model learns to demote popular items); **hard** (shown-but-not-clicked, or near neighbours — sharpen the boundary, but some are false negatives). Mix them and tune the ratio.

### Split hygiene and the leakage checklist




*Figure — Time-based vs random split (course diagram)*

- **Temporal splits** for future performance (nearly always): train weeks 1–10, validate 11, test 12. A random split lets the model train on week 12 and "predict" week 3. (Rules of ML **#33**: trained through Jan 5 → test from Jan 6.) Generalising to new users needs **entity-based splits** (all of a user's rows in one split).
- **Point-in-time features** within every example (16.2).
- Leakage checklist:
  1. Aggregates whose window includes the label moment ("merchant fraud rate" including this transaction).
  2. **Label-adjacent fields** that only get filled because the outcome happened (refund flag, case-resolution code).
  3. Near-duplicates across splits (same document twice; decide whether the same user may appear in both, based on what you're testing).

### Privacy, in one paragraph

Minimise **PII** (personally identifiable information) at ingestion: collect only what's needed, restrict access, set retention. Hashed IDs are still linkable. Define how deletion requests reach raw data, derived datasets, embeddings and models (versioned data, deletion tracking, scheduled rebuilds — and involve privacy/legal). Fraud verdicts and moderation decisions are sensitive too.

## In the interview

**30-second answer** ("where does your training data come from?"): *"Outcomes, behaviour and human judgments, each with a cost and delay. I validate labels, join them to point-in-time features, split by time, downsample and recalibrate for imbalance, and audit LLM labels against human slices."*

- **"Fraud outcomes take six weeks. What do you train on today?"** → Matured rows (the window stops six weeks back), plus provisional signals — rule hits, analyst verdicts — for recent traffic. Outcome monitoring lags six weeks; score-distribution monitors cover the gap.
- **"Annotators disagree 30% of the time."** → A guideline bug first: cluster disagreements, add examples, re-version, re-measure. For truly ambiguous items, collect several judgments and train

on the majority or the distribution.

- **"Why not let an LLM label everything?"** → Its errors are correlated and invisible from inside; human audit slices catch them.

### Self-check

1. Three label sources and their main weakness? → Natural (late), behavioural (biased proxy), human (costly, needs QA).
2. After keeping 10% of negatives, a model outputs 0.05. Corrected probability? → $0.1 \cdot 0.05 / (0.1 \cdot 0.05 + 0.95) \approx 0.0052$.
3. Why popularity-correct in-batch negatives? → Popular items appear as negatives too often, so the model learns to penalise popularity itself.
4. Name two leakage patterns. → Windows that include the label time; label-adjacent fields.

### TL;DR

Outcomes (slow), behaviour (fast, biased), humans (costly, need QA). Downsample then recalibrate. Split by time, join point-in-time, dedupe, minimise PII.

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## 16.4 Features and feature stores

### What it is

A **feature store** computes, stores and serves features consistently for training (history) and serving (latest values). For predictive designs, say for each feature what it is, where it comes from, how fresh it must be and what it costs.

### How it works — four feature groups (ETA example)

| Group | Meaning | ETA examples | Typical compute path |
|---|---|---|---|
| **Entity** | Attributes of a restaurant, courier or customer that rarely change | Typical prep time at the restaurant, the courier's vehicle, the customer's building type | Batch (nightly) |
| **Behavioural aggregates** | Counts/averages over a recent window | Restaurant orders last 30 min, courier speed today, dish median prep over 7 days | Streaming for short windows, batch for long |
| **Contextual** | The request moment | Time, weekday, weather, distance, big match on TV | Request time |
| **Cross** | Two entities together | This courier at this restaurant; this customer in this cuisine | Batch or streaming |

A second checklist, by **signal source**, helps find gaps: the item's content, the person acting, their recent behaviour, graph links between entities, and the circumstances of this particular request.

### Turning raw signals into model inputs

| Kind of input | Usual encoding | Example |
|---|---|---|
| Huge ID vocabularies | Learned **embedding tables** (Chapter 13); when the set of IDs is unbounded, the **hashing trick** maps each ID to one of a fixed number of buckets | user, item, merchant IDs |
| Numbers | Bucketing, normalisation, and a log transform when a few values are enormous and most are small (**heavy tails**) | order counts, km, prices |
| Short category lists | One-hot vectors or tiny embeddings | device type, country |
| Pairs that interact | Hand-built crosses, or a deep model that discovers them | user × category |

Trees don't need scaling; linear models and neural nets do.

### Freshness: batch path + streaming path

Short-window aggregates are worth having only while they're current: a half-hour order count refreshed once a night tells the model nothing. So the feature layer may have two arms:

- **Batch path** — Spark/SQL jobs compute slow features for every entity (e.g. nightly); easy to backfill.
- **Streaming path** — Flink or Spark Structured Streaming reading Kafka keeps windowed aggregates current within seconds; more operational work.

This is the **lambda architecture** (Nathan Marz); a streaming-only design is **kappa**. Run both arms only when freshness requires it. Rules of ML **#8: know the freshness requirements of your system**.

### What a feature store actually is

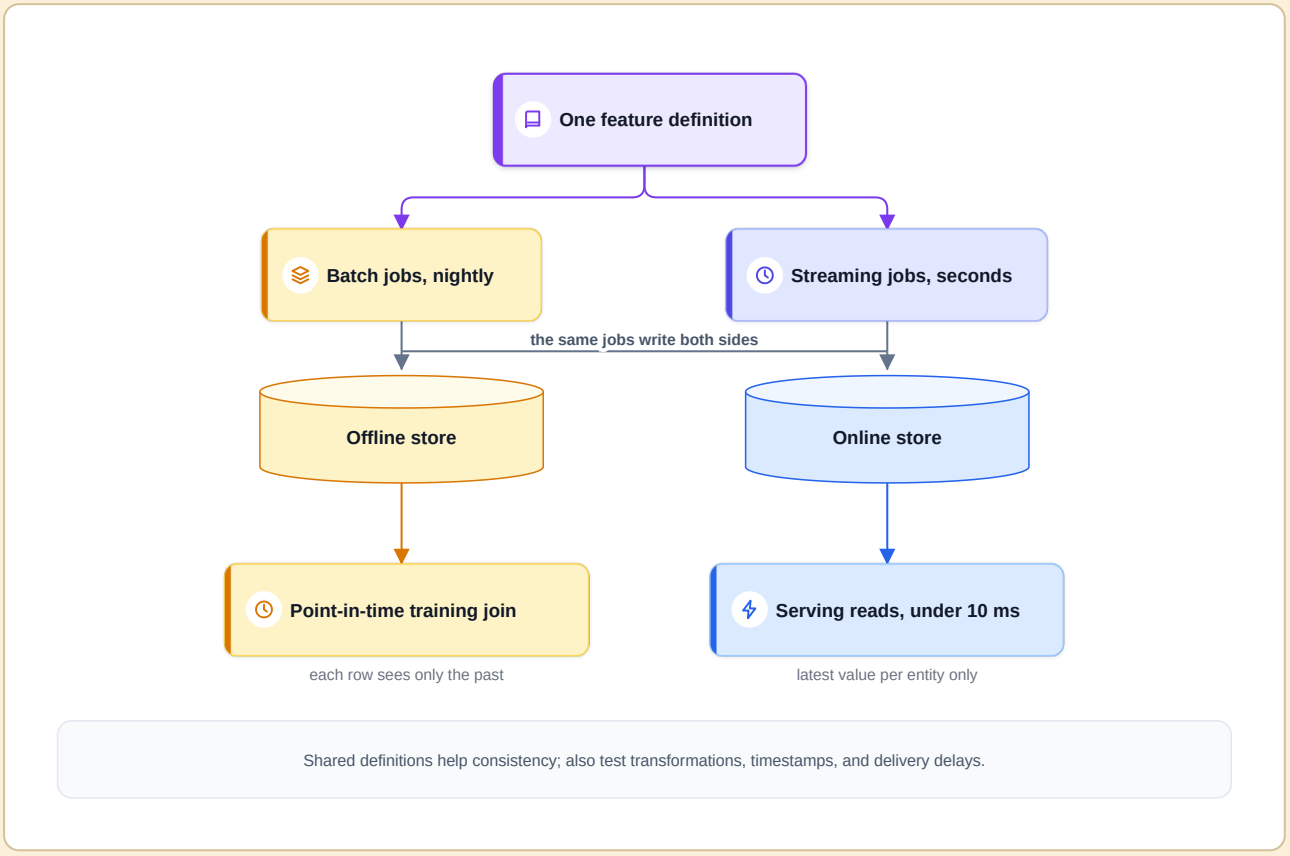



*Figure — Feature store: shared definitions, offline history, online latest (course diagram)*

| Side | Storage | Holds | Used for |
|---|---|---|---|
| **Offline store** | Warehouse / lake (Parquet, BigQuery, Snowflake…) | Timestamped history of feature values | Training sets via **point-in-time joins** — a row from 6:02 pm on 3 March gets the values as of then, not today's |
| **Online store** | Low-latency key-value store (Redis, DynamoDB, Cassandra, Bigtable) | Just the **current** value of each feature for each entity | Serving: "40 features for restaurant 812, courier 3407, this route — in < 10 ms" |

One set of definitions feeds both sides, and the store doubles as a **registry** so teams reuse a feature instead of re-deriving a slightly different one (which recreates skew). Still test transforms, timestamps, late data and empty values. Products: **Feast** (open source), **Tecton**, **Databricks**, **SageMaker** and **Vertex AI** feature stores; Uber's **Michelangelo** popularised the pattern.

### Request-time features

Some values exist only at request time (route distance, current cart); serving computes them inline. The trap is an expensive call (routing service, third-party API) with no latency plan. If it eats 80 ms of a 100 ms budget:

1. **Cache** a recent answer.
2. **Approximate** (straight-line instead of road distance).
3. **Default** a "missing" value on timeout.

Train and evaluate with those degraded inputs so the fallback is rehearsed and its quality cost known. As a budget line: *"15 ms to assemble features — a single batched lookup and two computed inline; if any of them is late, it takes the default value the model already met during training."*

## Trade-offs

| | Batch features | Streaming features | Request-time features |
|---|---|---|---|
| Freshness | Hours | Seconds | Instant |
| Cost/complexity | Low | High (state, late events, backfills) | Latency on the critical path |
| Backfill for training | Easy | Harder | Must be logged at serving |

## Common mistakes

- Computing 7-day aggregates at request time (millions of events scanned per call).
- Silent staleness: the stream falls behind and no alarm goes off. Put **feature freshness** on the main dashboard with its own alert, and consider feeding "feature age" to the model.
- A second team re-implements a feature → skew.

## In the interview

> **30-second answer**: *"Entity features in nightly batch, short-window aggregates in streaming, request context inline under a budget. A feature store gives point-in-time history for training and latest values for serving from one definition, and I'd test that both paths agree."*

- **"Why not compute everything per request?"** → Too slow and costly. Precompute what tolerates it, stream what must be current, and leave for request time only values that can't be known sooner.
- **"The streaming job lags?"** → Alert on freshness, fall back to trained-in defaults, include feature age.

## Self-check

1. Which store serves a point-in-time training join? → Offline store.

2. What does the online store keep? → Latest value per feature per entity.
3. Three fixes for a slow request-time feature? → Cache, approximate, default — all rehearsed in training.

### TL;DR

Four feature groups; batch for slow, streaming for fresh, inline for request-only; feature store = offline history + online latest; budget request-time features.

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## 16.5 Batch vs online vs streaming inference

### What it is

**Batch inference** precomputes predictions on a schedule into a key-value store, so a request becomes a lookup. **Online inference** computes per request. **Streaming inference** scores events as they arrive through a queue.

| | Batch | Online |
|---|---|---|
| When computed | On schedule, for all (or active) entities | Per request |
| Request-time work | KV lookup, ~1 ms | Feature fetch + model, ~10–100 ms |
| Infra | Scheduled job + KV store | Always-on serving capacity, autoscaling |
| Freshness | As old as the last run | As fresh as the inputs |
| Can use request context? | No | Yes (query, cart, route) |
| Cost shape | Batch size × reuse × hardware | Scales with traffic, peaks at busy hours |

### How it works — the deciding question

**Does the prediction need information that only exists at request time?** Then weigh freshness and reuse.

- ETA: yes (route, cart, live queue) → online.
- Fraud scoring: yes — the transaction *is* the input → online (or streaming).
- "Videos you might like" shelf: mostly no → batch (last night's top-500 is fine).
- Search ranking: query is request-time, but per-item quality scores can be precomputed → hybrid.

**Waste**: 25M users × 500 recommendations = 12.5 billion rows, mostly unread if 80% don't visit this week. Mitigations: precompute for **active users only** (5M → 2.5B rows), keep **fewer items per user** and reorder them cheaply online, or precompute per **segment** instead of per user.

### The hybrid: precompute-then-rerank

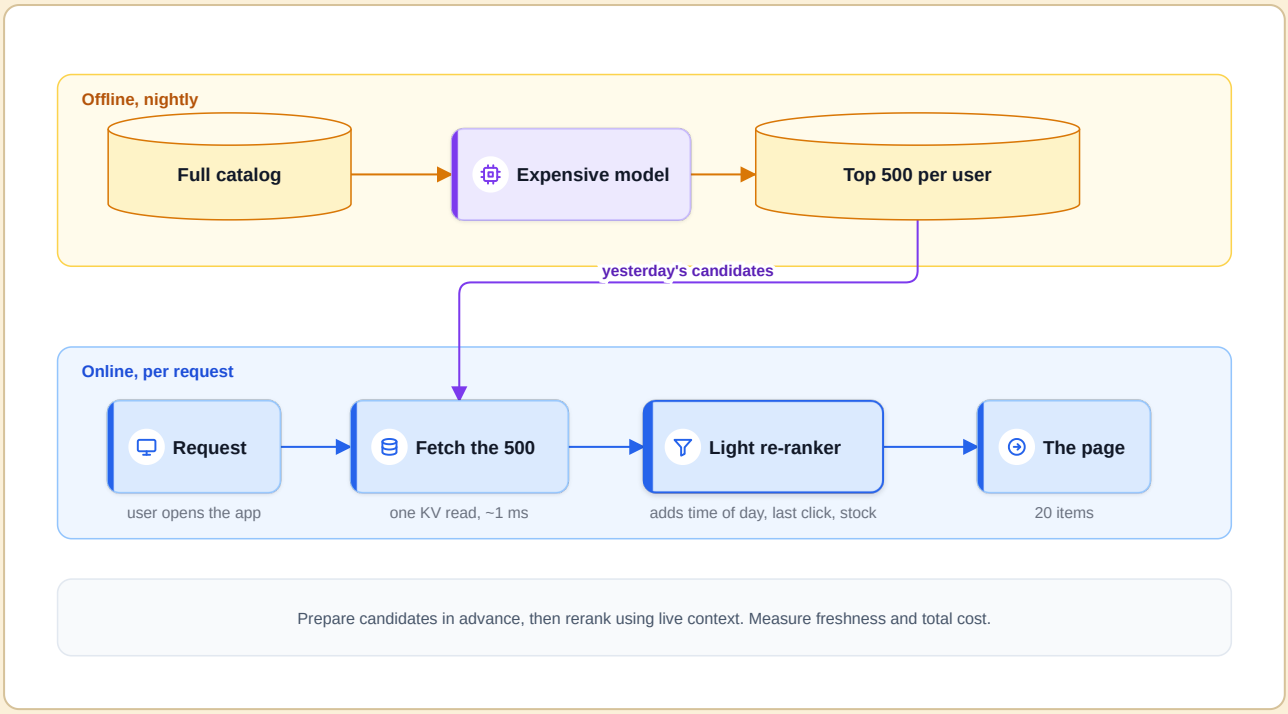



*Figure — Nightly candidates, live rerank (course diagram)*

Offline, an expensive model picks ~500 candidates per user; online, a small model reorders them using the moment (time of day, last click, stock). New items missing from the list need an online retrieval path. Failures degrade gracefully: yesterday's candidates if the nightly job fails, unreranked candidates if the reranker fails.

### Streaming inference

Events trigger predictions: each uploaded video scored for policy violations, each payment scored in the pipeline. It's online inference behind a queue; handle queue delay, retries, **duplicate events** (idempotent scoring) and **backpressure**.

## Trade-offs / when not to use

- Batch is wrong when inputs exist only at request time or staleness hurts (fraud, ETA).
- Online is wasteful when predictions are stable and heavily reused.
- Streaming is wrong when a caller is waiting synchronously for the answer.

## In the interview

> **30-second answer**: *"Does it need request-time inputs, how fresh must it be, how often is a stored prediction reused? Stable and reused → batch; request-dependent → online; event-driven async → streaming. For feeds, precompute candidates for active users and rerank online."*

- **"The nightly job failed."** → Yesterday's predictions keep serving — degraded, not down; alert on staleness and rerun. An online failure is an immediate incident.
- **"How fresh is fresh enough?"** → Measure it: plot CTR against the age of the stored candidates; how fast it falls tells you how often to rerun the batch.

## Self-check

1. Deciding question? → Does the prediction need request-time information?
2. Why precompute only for active users? → Most stored predictions for inactive users are never read.

3. What's streaming inference architecturally? → Online inference with a queue in front, no synchronous caller.

### TL;DR

Batch = lookup, stale, cheap per request; online = fresh, request context, pay at peak; streaming = event-triggered async. Hybrid precompute-then-rerank is the default for large catalogs.

---

## 16.6 Model serving basics

### What it is

A typical predictive model server is **stateless**: on startup it reads the model into memory, then turns each feature vector into a score. It scales like any web tier — replicas behind a load balancer, autoscaling on CPU load or queue length, rolling deploys, health checks. The ML-specific parts: where the artifact comes from, the latency budget, safe rollout, and hardware.

**The latency budget, itemised (illustrative small-model numbers)**

| Stage | Rough cost | Comment |
|---|---|---|
| Model inference | 1–10 ms | Trees and small tabular models are quick; deep nets need tuning |
| Online-store lookup | 2–10 ms | Do it as a single batched read; frequently the slowest step |
| Features computed inline | 0–15 ms | Each has its own allowance and a default if it runs over |
| Routing, auth, parsing the request | 1–5 ms | The usual web-service overhead |
| Writing the log, sending the reply | 1–2 ms | Logging is asynchronous so it doesn't block |

Profile the full path before optimising. Two standard tools:

- **Batching** (dynamic/micro-batching) — group requests for a few ms to use hardware better, especially GPUs; trades a small wait for throughput, so test p99.
- **Feature caching** — hold the vectors of the most-requested entities (busy restaurants, trending videos) in process memory, so the bulk of traffic never touches the online store.

### Shipping a new model safely

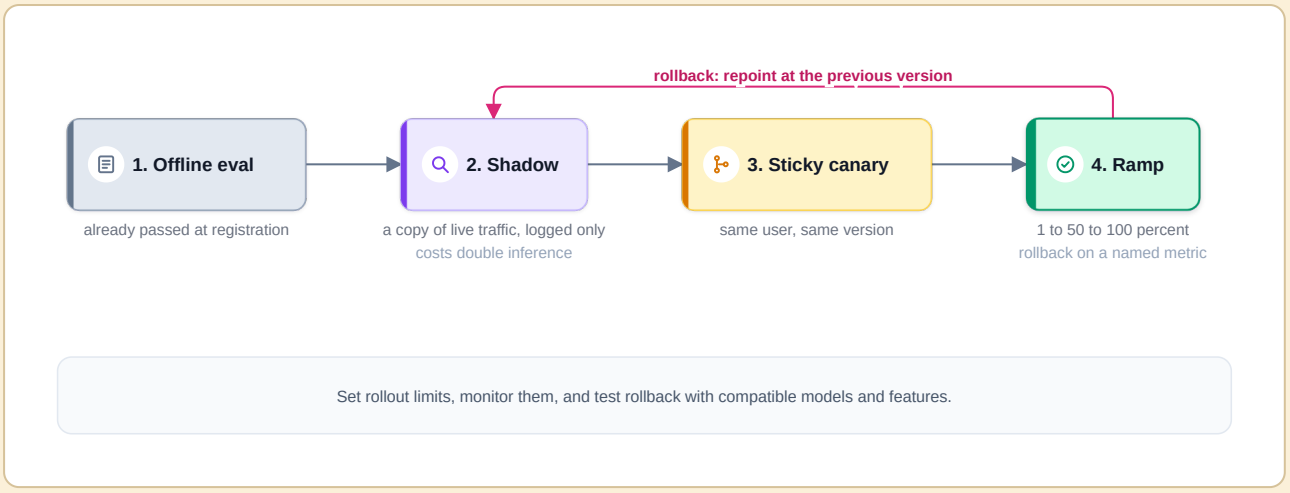



*Figure — Rollout stages: offline eval, shadow, canary, ramp (course diagram)*

1. **Offline evaluation** — already passed (that's how it got registered).
2. **Shadow deployment** — the candidate scores a copy of live traffic; outputs are logged, never used. Catches serving bugs, latency problems and big behaviour differences; isolate its capacity and disable side effects.
3. **Canary / A/B** — a small traffic share gets the new model, usually **sticky per user** (sessions, orgs, regions or time windows fit other cases).
4. **Ramp up, with a pre-agreed abort rule** — e.g. "revert if session CTR falls 2% or p99 exceeds 150 ms". Rollback must restore a compatible model *and* features and config; rehearse it and know how long it takes.

### Hardware

Tree models and small neural nets serve well on CPU — say *"I'd benchmark the GBDT on CPU replicas first"*, not "GPU cluster" by reflex; GPUs pay off for large neural models with batching. Runtimes (ONNX Runtime, NVIDIA Triton, TensorFlow Serving) merit a passing mention.

### Shrinking the model

| Technique | Idea | Watch out |
|---|---|---|
| **Distillation** | A small *student* learns to mimic a large *teacher* | Measure the quality loss |
| **Quantisation** | Fewer bits per weight/activation (int8 vs float32) | Needs runtime support; check accuracy |
| **Pruning** | Drop weights that contribute little | Speedups need sparse-aware runtimes |

Compare compression with simply changing hardware, counting engineering effort and quality loss. (Central for LLMs — see the AI Handbook.)

### Degradation is part of the spec

Agree the **fallback prediction** with product and risk owners: the previous version kept warm, a cached prediction, a heuristic (average ETA; rules-only fraud), or a product default (unpersonalised shelf). For fraud it may be review or decline, not "allow". Name the owner and how long degraded mode may last before paging.

### Model-in-service vs model-as-a-service

Embedding the model in the application saves a network hop but couples deploys and scaling. A standalone model service costs an extra network hop (a few ms) but gives independent rollout, sharing across teams and right-sized hardware — the default at scale.

### Common mistakes

- Forgetting timeouts and autoscaling once a model is in the diagram.
- No model version logged per prediction — A/B results can't be attributed.
- Rollback = "redeploy the old file" after the feature schema changed.

### In the interview

> **30-second answer**: *"A stateless, versioned model service loading from the registry, scaled like a web tier. I itemise the latency budget and profile before adding batching or caches. Releases: offline eval → shadow → sticky canary → ramp with a named rollback metric. Fallback: previous version or a heuristic agreed with product."*

- **"A/B two models cheaply?"** → One service with both versions loaded, a sticky per-user router, version logged per prediction; shadow first, since experiments cost weeks of traffic.

### Self-check

1. Why is the model server easy to scale? → It's stateless.
2. What's the usual latency bottleneck for small models? → Feature fetching.
3. Shadow vs canary? → Shadow: real traffic, outputs unused; canary: a real user slice gets outputs.

### TL;DR

Stateless versioned service; itemised budget; batching and hot caches; shadow → canary → ramp; CPU first; distill/quantise/prune; explicit fallback.

---

## 16.7 Offline evaluation: choosing the metric

### What it is

Offline metrics are the *first gate*: candidates are compared on held-out data before any user sees them; the online experiment (16.9) is the second gate. The definitions — precision/recall, ROC-AUC vs PR-AUC, MAE/RMSE, recall@k/NDCG/MRR, calibration — are all in Chapter 6 (§6.2 regression, §6.3 classification and thresholds, §6.4 ranking, §6.5 calibration). This section only adds what changes once the model is headed for production.

| Problem | Report | Production twist |
|---|---|---|
| Rare-event classification (fraud, abuse) | P/R at the shipping threshold, PR-AUC next to the base rate | Thresholds are business policy; often two of them (approve / review / block) |
| Retrieval → ranking | recall@k for candidate generation, NDCG@k or MRR for the ordering stage | Each funnel stage gets its own metric; click labels are position-biased |
| Regression (ETA, demand) | MAE or RMSE plus p90 error | Break it down per cohort — new cities or segments hide inside a good average |
| Any score used as a number | Calibration (reliability diagram, ECE) | Recheck after downsampling/re-weighting (16.3) and after population shifts |

#### Production checklist

1. **Fix the evaluation set to look like traffic**: time-based split, the real base rate, no leaked features (16.2, §4.7–4.8).
2. **Report the operating point, not only an area**: "92% precision at 60% recall at threshold 0.05", together with the review workload it creates (alerts per day).

3. **Let the cost owner pick the threshold**: product/risk teams price blocked good customers against missed fraud; ML supplies the PR curve and expected costs.
4. **Slice**: per country, device, new vs returning user, new vs mature market. Ship only if no important slice regresses.
5. **Beat two baselines**: a naive one (majority class, popularity, "same hour last week") and the current production model. A 6-minute MAE is impressive against a naive 8, not against a naive 6.2.
6. **Label source matters for ranking**: judged sets (human graders following guidelines) plus behavioural labels (clicks, purchases) with position-bias correction.

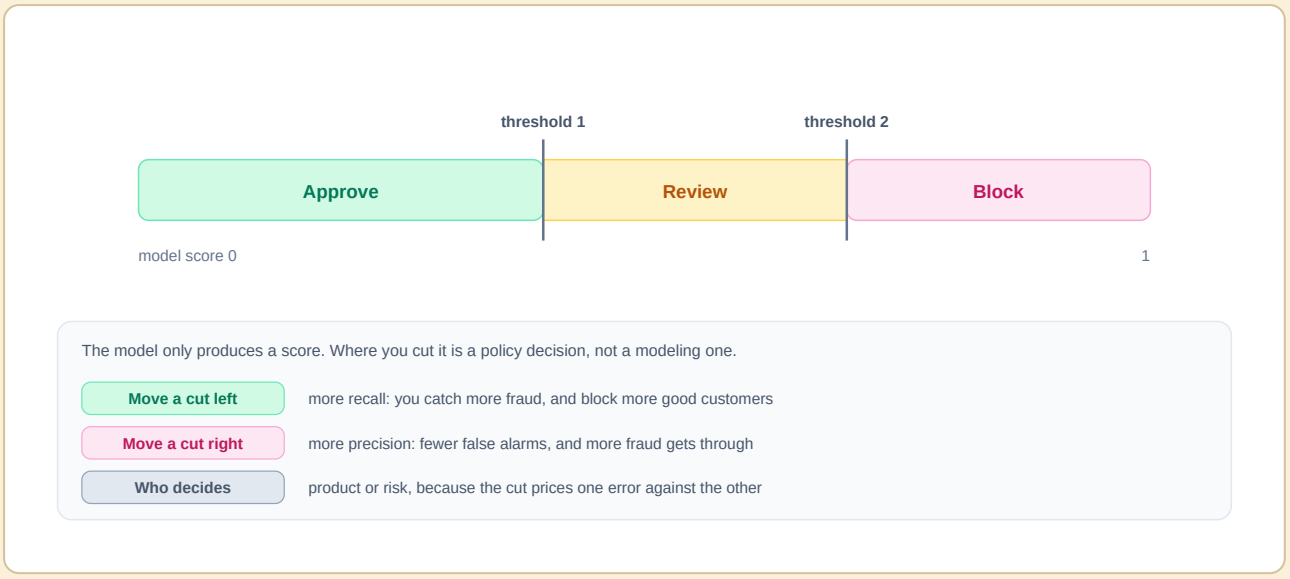



*Figure — Approve / review / block bands from two cut-offs (course diagram)*

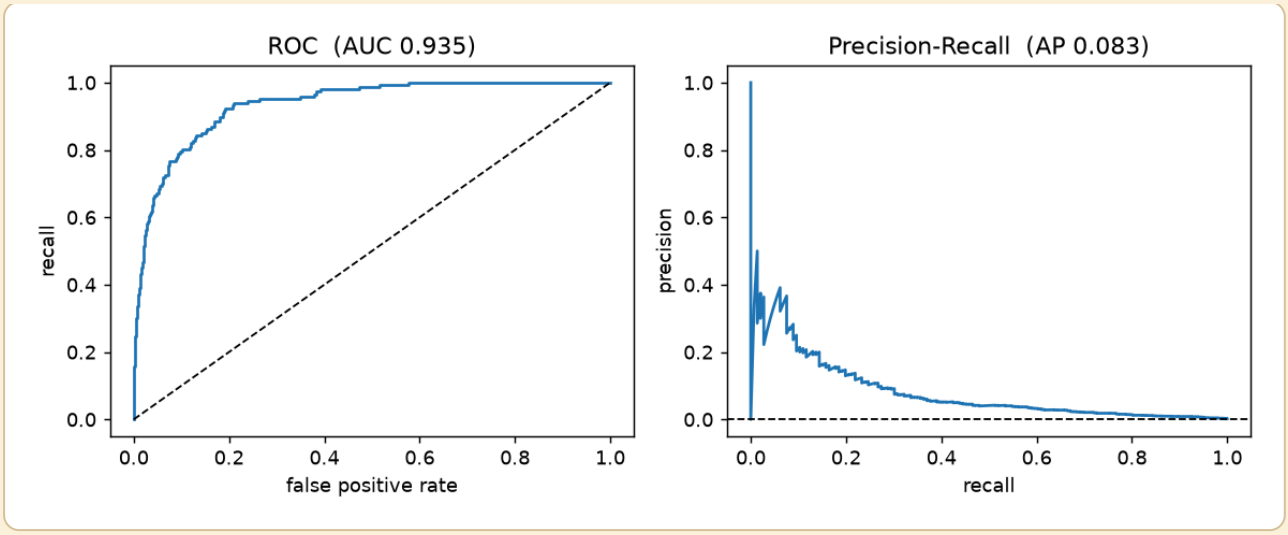
### Code — one production-sized run per family (`code/offline_metrics.py`)

The script trains a logistic regression on synthetic transactions with 0.2% fraud, sweeps thresholds, builds the two-threshold bands, checks a by-hand NDCG against scikit-learn, and splits ETA errors by city cohort.

Output (abridged):

```
== classification (rare positives) ==
test rows 80,000, positives 146 (base rate 0.18%)
ROC-AUC 0.935   PR-AUC (average precision) 0.083   PR-AUC of a random model = base rate = 0.002
threshold  flagged   TP     FP precision  recall     FPR
    0.005     5776  106   5670      0.02    0.73  0.0710
    0.050      462   42    420      0.09    0.29  0.0053
  approve :  77081 txns, fraud rate in band 0.07%
  review  :   2457 txns, fraud rate in band 1.91%
  block   :    462 txns, fraud rate in band 9.09%

== regression (ETA minutes) ==
overall  MAE  3.71  RMSE  5.27  p90|err|  7.41
mature   MAE  3.17  RMSE  3.99  p90|err|  6.55  share 93%
new      MAE 10.93  RMSE 13.69  p90|err| 22.66  share 7%
naive baseline (predict the mean) MAE  9.46
```




What it shows in production terms: a 0.935 ROC-AUC would pass a dashboard review, but catching 73% of fraud means 5,670 false alarms for 106 catches — the analyst queue, not the AUC, is what the business feels. The two bands put 9% fraud in "block" and 1.9% in "review", so humans look at 2,457 cases instead of 80,000. The overall ETA error of 3.7 minutes hides 10.9 minutes in new cities.

### In the interview

> **30-second answer**: *"I pick the offline metric from the task (Chapter 6 details), but in production I report it at the shipping threshold with the workload it creates, sliced by cohort, against a naive baseline and the current model. The cost owner chooses the threshold. Offline wins only earn an A/B test."*

- **"Offline metric up, A/B flat?"** → The offline metric is a proxy: weak label (click vs watch time), test set no longer like traffic, or serving-time degradation (skew). Check experiment power and logging first.
- **"Which threshold would you ship?"** → Show the PR curve with expected costs and alert volume; let the cost owner pick; for fraud, two thresholds with a review band.

### TL;DR

Metric definitions live in §6.2–6.5. In production: traffic-like eval set, operating point + workload, owner-chosen thresholds, cohort slices, naive and production baselines — then an A/B test.

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## 16.8 Monitoring, drift and retraining

### What it is

A deployed model loses quality as the world changes — fraudsters adapt, a pandemic reshapes delivery times, new slang fools a toxicity classifier. Decay rates differ; measure them.

| Drift type | What changes | Example | Also called (Huyen) |
|---|---|---|---|
| **Data drift** | Inputs P(X) | Orders shift from lunch to dinner | Covariate shift |
| **Label / prior shift** | Outcomes P(Y) | Fraud rate doubles in a holiday | Label shift |
| **Concept drift** | The relationship P(Y \| X) | Same features, different outcomes — new fraud tactics, a restaurant changes kitchens | Concept drift |

Monitoring must also tell drift from plain **bugs** (a broken upstream pipeline looks like drift).

## How it works — the four-layer monitoring stack

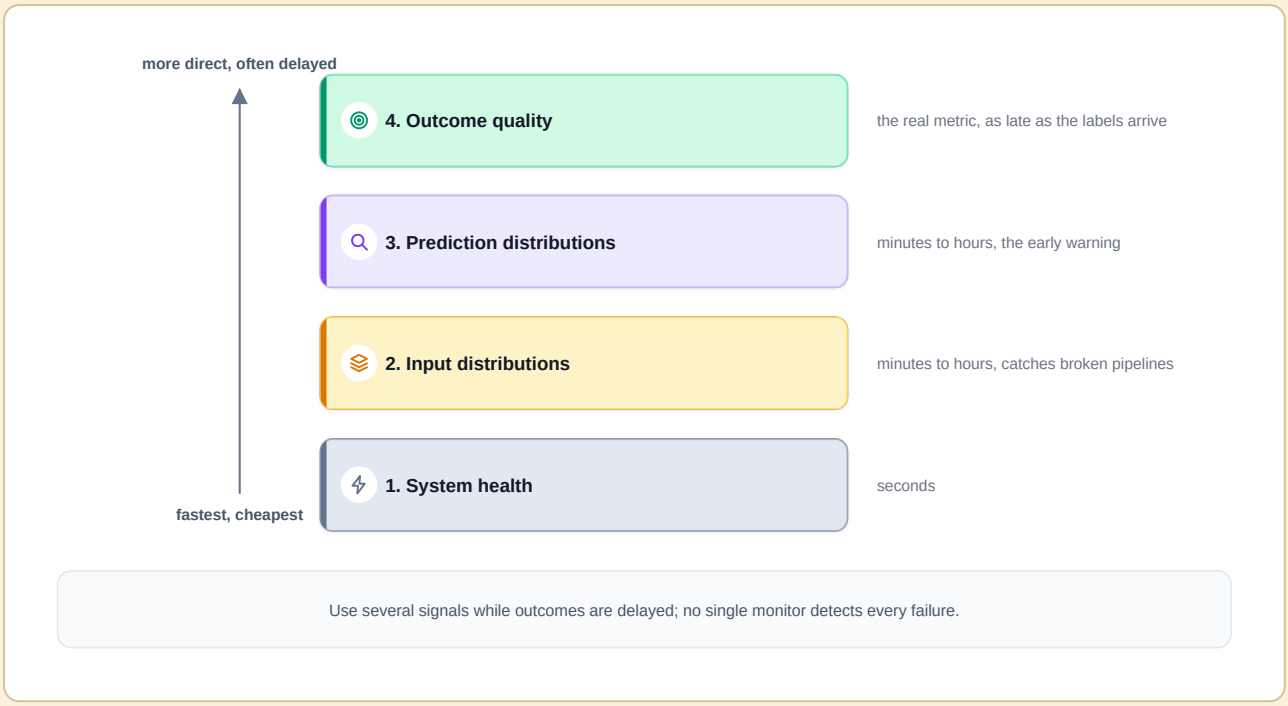



*Figure — Monitoring layers from fast/cheap to slow/direct (course diagram)*

| Layer | How quickly it reacts | Signals tracked | Typical findings |
|---|---|---|---|
| 1. Service health | Within seconds | Traffic, latency, error rate, how old the feature-store values are | Outages; pipelines that stopped updating |
| 2. Inputs | Minutes to hours | Each feature compared with its training reference — share of nulls, averages, PSI or KS distance | Data drift; a producer sending garbage |
| 3. Outputs | Minutes to hours | Shape of the score histogram; share of positive decisions | The model behaving differently, visible before any label exists |
| 4. Outcomes | Only once labels land — seconds for clicks, about an hour for ETAs, weeks for chargebacks | CTR, realised ETA error, recall on confirmed fraud | Concept drift and genuine quality loss |

Layers 2–3 exist because layer 4 is late; some attacks move neither inputs nor scores, so combine signals. Rules of ML **#9: detect problems before exporting models**; **#10: watch for silent failures** (e.g. a joined table that stopped updating). *Reliable Machine Learning* (Chen, Murphy et al., O'Reilly 2022) treats model quality as SLOs with incident playbooks, like service SLOs.

### Drift statistics

- **PSI (Population Stability Index)**: bin the reference (training) distribution into quantiles; PSI = Σ (cur% − ref%) · ln(cur% / ref%). Credit-scoring convention: < 0.1 stable, 0.1–0.25 watch, > 0.25 investigate.
- **Two-sample Kolmogorov–Smirnov (KS) test**: D = max gap between the two empirical CDFs, plus a p-value. With large samples trivial shifts become "significant" — look at D (effect size).
- **Null rates and schema checks** — PSI on non-null values can't see a producer that started sending 30% nulls.
- Categorical features: chi-square test or PSI over categories. Tools: Evidently, WhyLabs, NannyML, SageMaker Model Monitor, Vertex AI Model Monitoring, TFDV.

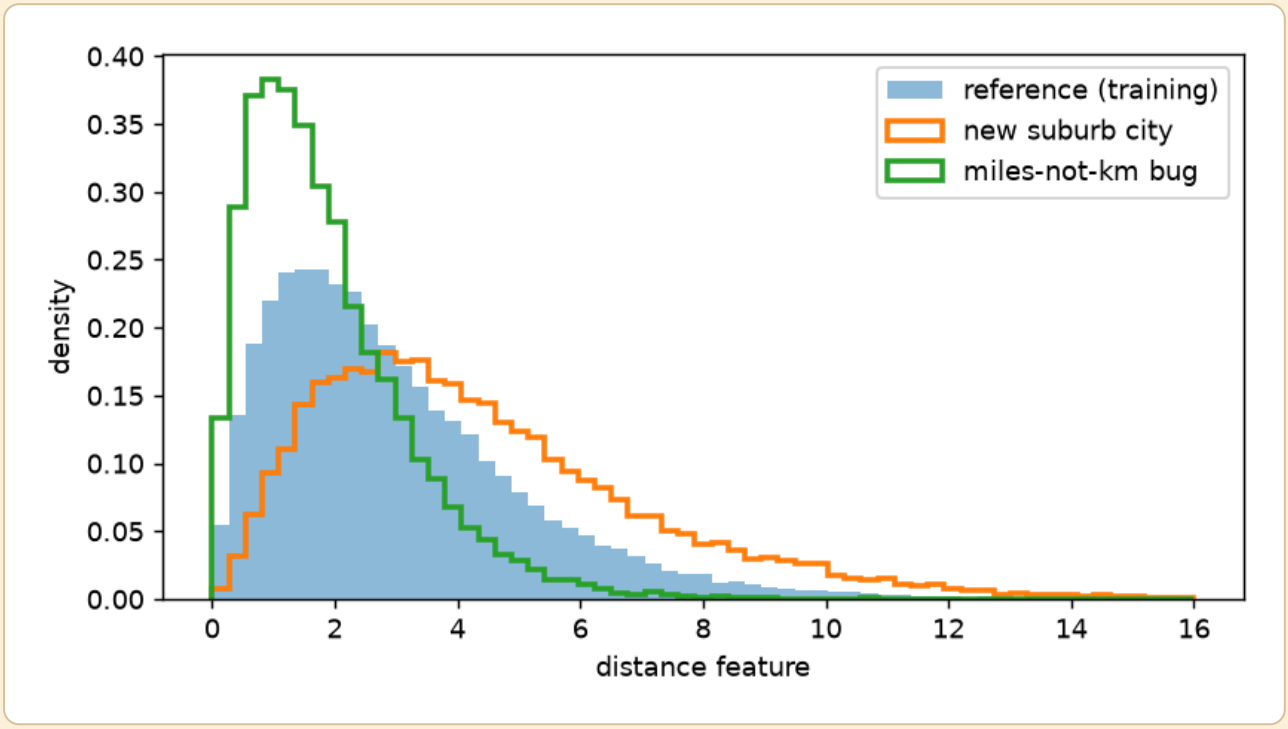
### Code — PSI and KS (`code/drift_psi_ks.py`)

```
def psi(reference, current, bins=10, eps=1e-6):
    ref, cur = reference[~np.isnan(reference)], current[~np.isnan(current)]
    edges = np.quantile(ref, np.linspace(0, 1, bins + 1))
    edges[0], edges[-1] = -np.inf, np.inf            # catch values outside the training range
    r = np.histogram(ref, edges)[0] / len(ref)
    c = np.histogram(cur, edges)[0] / len(cur)
    r, c = np.clip(r, eps, None), np.clip(c, eps, None)
    return float(np.sum((c - r) * np.log(c / r)))

ks = ks_2samp(reference, current)                    # scipy.stats
```

Output:

```
same distribution (new sample)     PSI  0.001  KS D 0.007  p  4.9e-01  nulls  0.0%  -> stable
tiny shift (+3%) -- big n          PSI  0.002  KS D 0.018  p  2.5e-11  nulls  0.0%  -> stable
new suburb city (longer trips)     PSI  0.361  KS D 0.241  p  0.0e+00  nulls  0.0%  -> INVESTIGATE
upstream bug: miles not km         PSI  0.426  KS D 0.251  p  0.0e+00  nulls  0.0%  -> INVESTIGATE
30% nulls (broken producer)        PSI  0.000  KS D 0.006  p  7.5e-01  nulls 30.2%  -> stable
```




Lessons: (1) a 3% shift on large samples gives p ≈ $10^{-11}$ but PSI 0.002 — don't page on p-values; (2) a new city and a unit bug look the **same** to the statistic — alerts start investigations, they don't prove drift; (3) PSI/KS missed the 30% nulls — check null rates separately.

### Retraining: cadence, trigger, gates

Retraining is one possible response — first fix broken data, policy or serving bugs.

1. **Scheduled** (nightly/weekly) — simple, right for gradual drift. Set the cadence from measured decay — e.g. if a weekly-refreshed model has shed 2% AUC by its seventh day, move to twice a week.
2. **Triggered** — monitor fires → investigation → if validated data exists, a candidate run. Never auto-promote because an alert fired.
3. **Online / continual learning** — incremental updates (Huyen: **stateless retraining** from scratch vs **stateful training** from the last checkpoint). Suits fast-changing tasks; needs bounded updates, validation and rollback — a bad stream corrupts an online learner fast.

Every candidate passes the same gates: offline vs production (overall **and per segment**) → shadow → canary, approved by a named owner or automated limits. The history window should cover seasonality yet drop stale patterns — treat it as a hyperparameter, weighting recent data in fast-drift domains.

### Feedback loops that damage your data

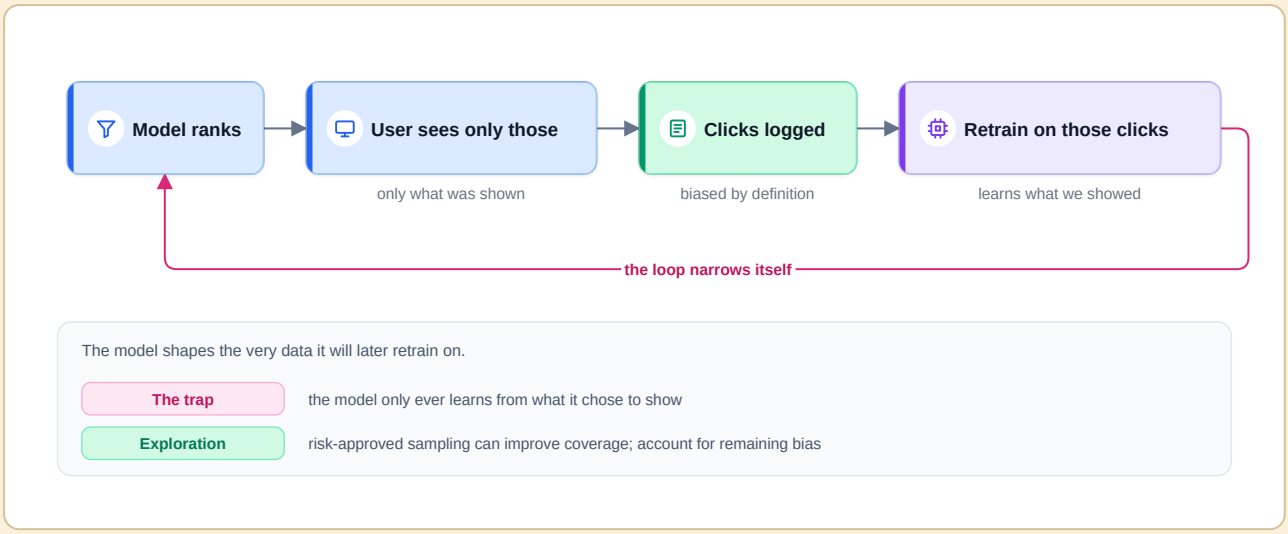



*Figure — How a ranker narrows its own training data (course diagram)*

The model shapes the data it later learns from — Huyen's **degenerate feedback loop**. A feed shows what it predicts you'll like, you can only click what was shown, and the retrained model learns "what we showed gets clicked", narrowing further (popularity bias, filter bubbles). In fraud, blocked transactions never produce an outcome (investigator evidence gives partial labels — record source and uncertainty).

Mitigations:

- **Controlled exploration** — in low-risk recommenders, show a small approved share of traffic randomised candidates and **log selection probabilities** to correct later (inverse propensity weighting); bandits formalise this.
- For fraud, never let suspicious payments through merely to learn their outcome; rely on reviews the risk team has signed off, simulations, or small experiments under strict limits.
- Positional features: log position at training, set it to a fixed value at serving (Rules of ML **#36**: avoid feedback loops with positional features).
- Exploration improves coverage but doesn't remove all bias; measure its benefit and user cost.

## In the interview

**30-second answer**: *"Four layers — service health, inputs, outputs, real outcomes; labels are late, so the first three warn early. An alert starts an investigation; often it's a broken pipeline, not the model. Retraining runs on a cadence set by measured decay or after an*

> *investigation, and every candidate clears offline, shadow and canary gates. I'd guard against the model skewing its own labels with a small, risk-approved exploration budget."*

- **"Quality dropped overnight — debug it."** → Bottom up: pipeline freshness and feature nulls (most likely, fastest) → prediction histogram → segment the drop (one country? one app version?) → only then the model.
- **"Data drift vs concept drift?"** → Inputs change vs the input→outcome relationship changes; the first may not hurt accuracy, the second always needs new labels.

### Self-check

1. Why monitor prediction distributions? → They move before delayed labels arrive.
2. PSI = 0.4 — retrain? → Investigate first; could be a unit bug or a new market, not necessarily a stale model.
3. What's a degenerate feedback loop? → The model's outputs determine its future training data, reinforcing its own biases.
4. Why log selection probabilities during exploration? → To reweight (inverse propensity) and get unbiased estimates.

### TL;DR

Data/label/concept drift; four monitoring layers; PSI/KS + null checks; gated retraining by schedule or after investigation; beware models that shape their own data.

---

## 16.9 Online experiments and A/B testing

### What it is

Offline evaluation asks whether the new model predicts held-out labels better; production asks whether it makes the **product** better. An **A/B test** (controlled experiment) randomly splits units between control (A, current model) and treatment (B, new model) and compares a business metric.

#### Why offline numbers aren't enough

1. **The label is a proxy** — a model can win on click-AUC while lowering watch time (clickbait predicts clicks well).
2. **Deploying the model alters the behaviour it is judged on** — a new ranker changes what people see, and so what they click; a frozen test set can't reflect that.
3. **Serving isn't scoring** — live traffic has timeouts, stale caches and fallbacks that offline evaluation never saw.

### How it works — two gates, and shadow in between

1. **Offline gate** — predefined quality, cost, safety and per-subgroup criteria.
2. **Shadow mode** (when failures are expensive) — score live traffic in parallel without showing it; compare on identical requests.
3. **Online gate** — A/B against production on the **business** metric (some products can't A/B safely or lack traffic).

#### A/B mechanics

1. **Randomise by unit** — usually users (hash user id + experiment name for sticky assignment); sessions, orgs, regions or time windows when users influence each other (**interference**) or effects carry over.
2. **One primary metric, chosen in advance** — everything else is a guardrail or diagnostic.

3. **Size the test for enough power** — fix the smallest lift worth detecting (**minimum detectable effect**, MDE), significance level α (false-positive rate, typically 0.05) and **power** (probability of detecting a true effect of that size, typically 0.8). Sample size per arm for two proportions: $n = [z_{1-\alpha/2}\cdot\sqrt{(2\cdot\bar{p}(1-\bar{p}))} + z_{1-\beta}\cdot\sqrt{(p_1(1-p_1) + p_2(1-p_2))}]^2 / (p_2 - p_1)^2$ Rare events, small effects and noisy metrics need big samples.
4. **Duration** — from sample size, outcome delay and business cycles (whole weeks); watch **novelty effects** and seasonality.
5. **Don't peek** — stopping at the first daily $p < 0.05$ inflates false positives. Commit to an end date, or use a **sequential test** built for repeated checks (alpha-spending, always-valid methods). **CUPED** (pre-experiment behaviour as a covariate) reduces variance and so sample size.

**Code — sample size, z-test, peeking (`code/ab_test.py`)**

```
def assign(user_id, experiment, treatment_share=0.5):
    h = int(hashlib.sha256(f"{experiment}:{user_id}".encode()).hexdigest(), 16)
    return "B" if (h % 10_000) / 10_000 < treatment_share else "A"      # sticky

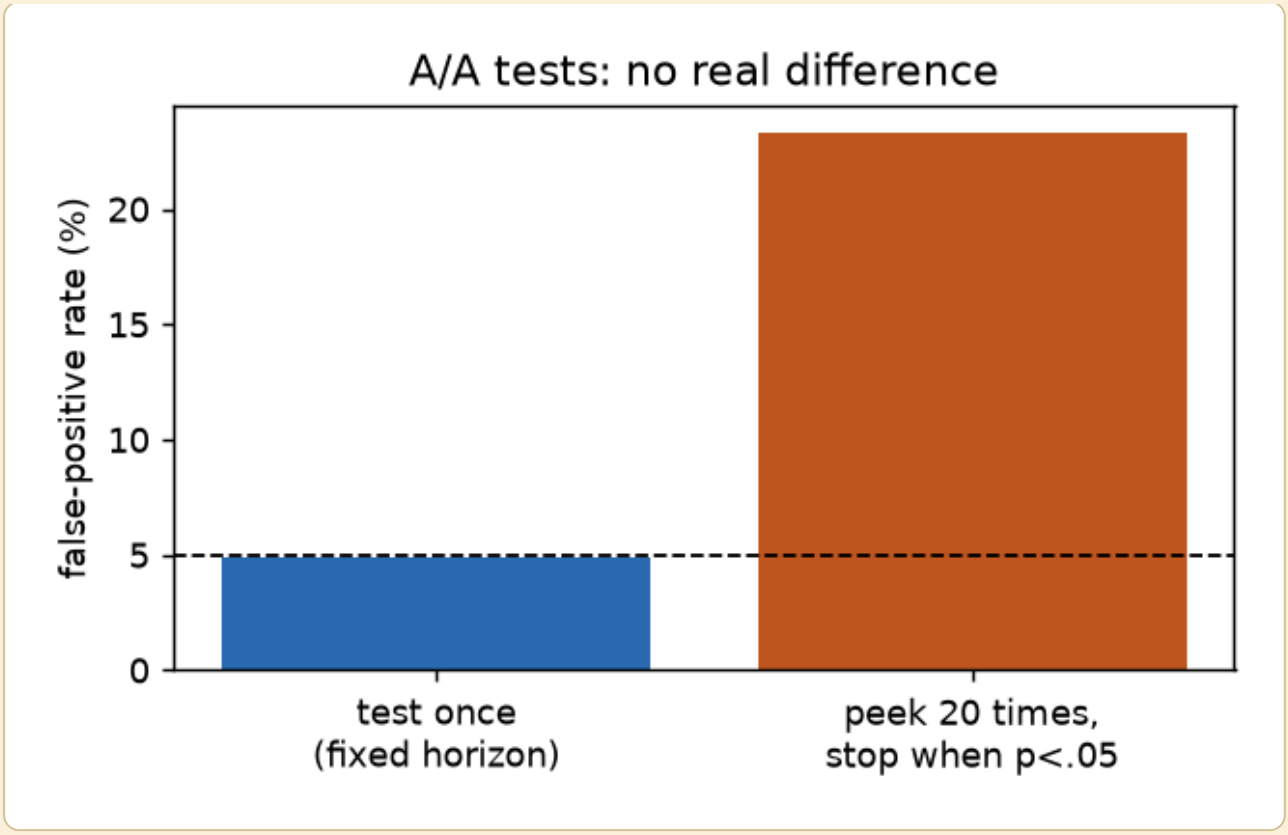
def two_prop_ztest(x_a, n_a, x_b, n_b):
    pa, pb = x_a / n_a, x_b / n_b
    pooled = (x_a + x_b) / (n_a + n_b)
    se0 = np.sqrt(pooled * (1 - pooled) * (1 / n_a + 1 / n_b))        # SE under H0
    z = (pb - pa) / se0
    p = 2 * (1 - norm.cdf(abs(z)))
    se = np.sqrt(pa * (1 - pa) / n_a + pb * (1 - pb) / n_b)           # SE for the CI
    return pa, pb, z, p, (pb - pa - 1.96 * se, pb - pa + 1.96 * se)
# ... sample_size_per_arm(), and 2,000 simulated A/A tests with 20 peeks each
```

Output:

```
sticky assignment: ['A', 'B', 'A', 'A', 'A', 'A', 'B', 'B'] | again: True
baseline CTR 5%, detect +1% relative lift (alpha .05, power .8): 2,996,698 users per arm
baseline CTR 5%, detect +2% relative lift (alpha .05, power .8): 752,703 users per arm
baseline CTR 5%, detect +5% relative lift (alpha .05, power .8): 122,124 users per arm

A: 19,906/400,000 = 4.9765%   B: 20,575/400,000 = 5.1437%
diff +0.1673% (relative +3.4%), z = 3.41, p = 0.0006, 95% CI [+0.0712%, +0.2633%]

A/A tests, alpha 0.05: false-positive rate testing once at the end = 4.9%; stopping at the first
significant of 20 peeks = 23.3%
```




Halving the detectable lift roughly **quadruples** the sample ($n \propto 1/\delta^2$): a 1% relative CTR lift needs ~3M users per arm. The finished test is significant (CI excludes zero). Peeking 20 times turns a 5% false-positive rate into ~23%.

### Guardrails and the metric hierarchy

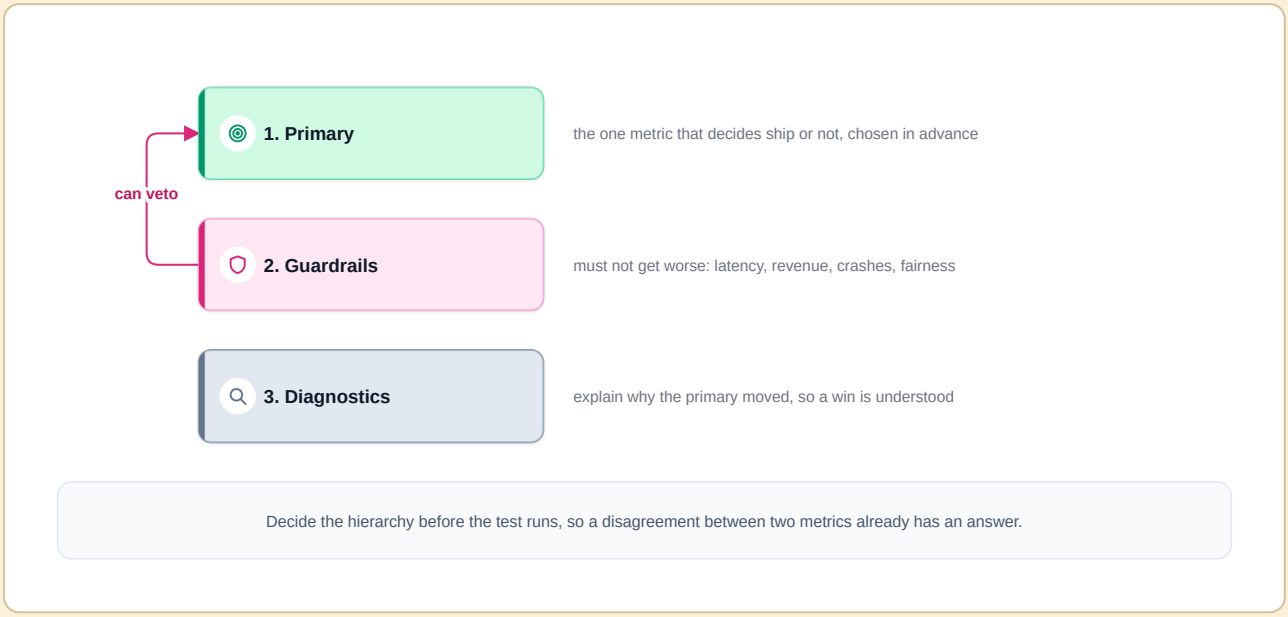



*Figure — Metric tiers: primary, guardrails, diagnostics (course diagram)*

1. **Primary** — decides ship/no-ship (e.g. watch time per session).
2. **Guardrails** — must not degrade: latency, crash rate, unsubscribes, revenue, fairness across segments. A primary win doesn't override a breached guardrail.
3. **Diagnostics** — explain *why* the primary moved.

Fixing the hierarchy beforehand settles disagreements in advance. Also check **sample ratio mismatch** (a 50/50 split arriving as 52/48 means broken assignment or logging).

### Beyond the simple A/B

| Variant | Use when | How |
|---|---|---|
| **Interleaving** | Ranking, low traffic | Merge two rankers' results into one list per user (e.g. team-draft); see whose items get clicked. Much more sensitive, but measures preference, not long-term business impact |
| **Switchback** | Marketplaces with network effects (dispatch, surge pricing) | Flip the whole region between variants over time windows, because treating some riders affects the drivers everyone shares |
| **Multi-armed bandits** | Ongoing selection where you want reward during the test | Shift traffic toward the winning arm as evidence accrues (Thompson sampling, UCB); analysis differs from a fixed-split test |
| **Holdback** | Measuring durable long-term effect | Keep a small slice on the old experience for months |

## Real-world examples

Microsoft (Bing/ExP), Netflix, Booking.com, LinkedIn and Airbnb run thousands of experiments a year; Netflix and Airbnb have published on interleaving for ranking, DoorDash and Lyft on switchback experiments for marketplaces; CUPED originated at Microsoft (Deng et al., 2013).

## In the interview

> **30-second answer**: *"Offline filters candidates; shadow catches serving problems; then an A/B test with a predeclared unit, primary metric and guardrails, sample size from MDE and power, whole weekly cycles, and a fixed-horizon or sequential stopping rule — then a gradual rollout with rollback conditions."*

- **"Very little traffic?"** → More sensitive metrics, interleaving, longer runs, variance reduction, bolder changes — and admit some rare-event effects can't be A/B tested; rely on shadow plus careful ramps.
- **"Metric improved for a month, then reverted."** → Novelty effect, seasonality, population change or data issues; run past the novelty window and keep a long-term holdback.

## Self-check

1. Why pick the primary metric beforehand? → To avoid choosing the metric that happens to look good (p-hacking).
2. How does sample size scale with MDE? → ~$1/\text{MDE}^2$; half the effect → ~4× the users.
3. What's wrong with peeking? → Many looks at noise inflate the false-positive rate (~23% in the demo).
4. When use a switchback? → When treated and control units interfere, e.g. shared drivers in a marketplace.

## TL;DR

Offline filters, online decides: right unit, one primary metric, vetoing guardrails, powered sample, whole weeks, no peeking; interleaving, switchbacks, bandits, holdbacks for special cases.

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## 16.10 MLOps: the glue that makes it repeatable

### What it is

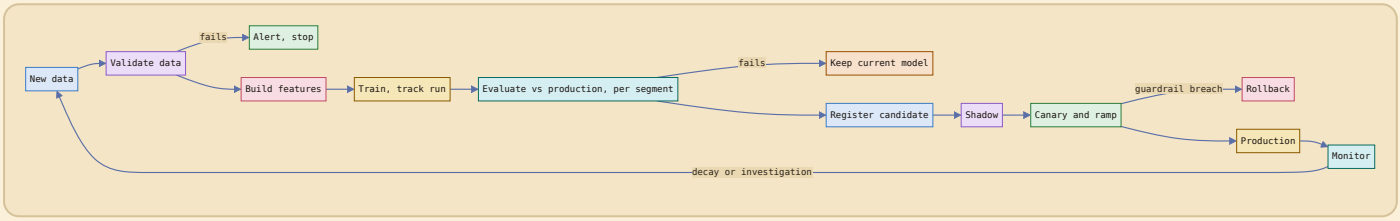
**MLOps** applies DevOps practices — version control, automated testing, CI/CD, monitoring — to ML, where the "code" includes **data** and **models**. Google's MLOps maturity levels are a handy vocabulary:

| Level | What's automated | Typical symptom |
|---|---|---|
| **0 — Manual** | Nothing: notebooks, hand-exported models, rare releases | "Only Alice can retrain it" |
| **1 — ML pipeline automation** | The training pipeline runs automatically on new data (**continuous training**, CT), with data & model validation and a registry | Models refresh; pipeline code still deployed by hand |
| **2 — CI/CD pipeline automation** | Pipeline code itself is built, tested and deployed automatically | New features/models go from commit to production safely |

### The components

| Component | Job | Examples |
|---|---|---|
| **Experiment tracking** | Log each run's code version, params, data hash, metrics, artifacts — reproducible and comparable | MLflow Tracking, Weights & Biases, Neptune |
| **Data & model versioning** | Snapshot datasets and link them to models (lineage) | DVC, lakeFS, Delta Lake time travel |
| **Data validation** | Schema, ranges, null rates, distribution checks **before** training and at serving; fail the pipeline on bad data | TFDV, Great Expectations, Pandera |
| **Model registry** | Versions, stages (candidate/staging/production/archived), metrics, approvals, rollback target | MLflow Model Registry, SageMaker, Vertex AI |
| **Orchestration** | DAG of ingest → validate → features → train → evaluate → register | Airflow, Kubeflow Pipelines, Dagster, Metaflow, TFX |
| **CI for ML** | Feature-code unit tests, training–serving consistency tests, a "trains and beats baseline" smoke test, validation gate | GitHub Actions + pytest, etc. |
| **CD for ML** | Package model + serving code, deploy via shadow → canary → ramp, auto-rollback on guardrails | KServe, Seldon, BentoML, SageMaker endpoints |
| **Monitoring** | 16.8's four layers, feedback into CT | Evidently, Arize, WhyLabs, Prometheus/Grafana |

Rules of ML **#5: test the infrastructure independently from the ML** — e.g. push a trivial model through and confirm identical offline and online predictions before trusting any accuracy number. Google's "ML Test Score" paper (Breck et al., 2017) is a checklist for this.



### Code — a toy end-to-end loop (`code/mlops_pipeline.py`)

Data validation, tracked runs with data hashes, a registry with stages, a per-segment promotion gate, shadow comparison, a canary with automatic rollback, and a skew check — in ~170 lines of plain Python.

```python
def gate(cand, prod, tolerance=0.01):
    c, p = cand["metrics"], prod["metrics"]
    if c["mae"] >= p["mae"]:
        return False, f"overall MAE {c['mae']:.2f} not better than {p['mae']:.2f}"
    for k in ("mae_mature", "mae_new_city"):                        # no segment may regress
        if c[k] > p[k] * (1 + tolerance):
            return False, f"segment {k} regressed {p[k]:.2f} -> {c[k]:.2f}"
    return True, f"MAE {p['mae']:.2f} -> {c['mae']:.2f}, no segment regressed"

def canary(cand_model, prod_model, live, ylive, cand_features=None):
    for share in (0.01, 0.05, 0.25, 0.50):
        # ... compare canary MAE with production MAE on the traffic slice
        if mae_c > mae_p * 1.05:
            return False            # ROLLBACK
    return True
```

Output:

```
1) validation of a clean batch: OK
   validation of a broken batch: ['distance_km: 99.9% out of range [0.0, 80.0]', 'hour: 2.0% nulls']

2-3) train + track + register; v1 (ridge) bootstraps production
   v1 ridge            MAE 2.94 (mature 2.84, new city 3.79)
   v2 gbdt             MAE 2.43 (mature 2.43, new city 2.40)
   v3 gbdt_no_new_city MAE 2.58 (mature 2.43, new city 3.85)
   tracked run files: ['run_1.json', 'run_2.json', 'run_3.json']

4) promotion gate vs production (v1)
   v2 gbdt             -> PASS: MAE 2.94 -> 2.43, no segment regressed
   v3 gbdt_no_new_city -> FAIL: segment mae_new_city regressed 3.79 -> 3.85

5) shadow v2: 20,000 live requests, mean |prod - cand| = 1.49 min, max = 27.3 min (logged, never
served)

6) canary v2, first attempt (serving container has the UTC-hour bug):
   canary   1%: MAE 2.95 vs prod 2.93 -> continue ramp
   canary   5%: MAE 3.47 vs prod 2.92 -> ROLLBACK (guardrail: >5% worse)
7) skew check on logged features: 'hour' differs from the training pipeline on 100% of rows -> fix the
serving code path
   canary v2, after the fix:
   canary   1%: MAE 2.20 vs prod 2.93 -> continue ramp
   canary   5%: MAE 2.48 vs prod 2.93 -> continue ramp
   canary  25%: MAE 2.42 vs prod 2.93 -> continue ramp
   canary  50%: MAE 2.46 vs prod 2.92 -> continue ramp
   registry: [(1, 'ridge', 'archived'), (2, 'gbdt', 'production'), (3, 'gbdt_no_new_city',
'candidate')]
```

What it shows: validation stops a km→m unit bug; v3 beats v1 on average but is blocked for regressing on new cities; the canary catches a **serving-side** bug (hour in UTC) invisible offline — 1% was too noisy, 5% caught it; comparing logged serving features with training finds the cause; after the fix v2 ramps and is promoted.

### Common mistakes

- Metrics tracked without the data version → unreproducible models.
- A registry without stages or owners → nobody knows what's live.
- Auto-retrain and auto-promote without gates.
- CI that never checks training and serving produce the same features.

### In the interview

> **30-second answer**: *"Every run tracked with code, data hash, params and metrics; data validated before training; candidates registered and promoted only through an evaluation gate, shadow and auto-rollback canary. The pipeline retrains on schedule or trigger (CT), and its code ships through CI/CD with training–serving consistency tests."*

### Self-check

1. MLOps level 1 vs 2? → Level 1 automates retraining (CT); level 2 also automates building/testing/deploying the pipeline code.
2. Why log the data hash with a run? → Reproducibility and lineage: same code + same data → same model.
3. What did the canary catch that offline eval couldn't? → A serving-path feature bug (skew).

### TL;DR

Track runs, version data and models, validate, register with stages, orchestrate, CI/CD/CT with gates, shadow → canary → rollback, monitor, loop.

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## 16.11 Capstone — an ML platform for ETA prediction

**The exercise**

> "Show a delivery-time estimate at checkout and keep it accurate as the business grows. 500K orders/day, peak 30 orders/s at dinner. The estimate appears as soon as the customer opens checkout."

(Numbers are illustrative.) Try it with the Chapter 15 framework first.

**Steps 2–4: success, data, baseline (first ~12 minutes)**

- **Metrics**: MAE against real delivery time, **p90 absolute error** (customers remember the 25-minute promise that took 70), and a **promise-kept rate** — share of orders arriving inside the window shown. The business may trade a slightly longer displayed time for promises that almost never break.
- **Latency**: assume < 100 ms. Note 30 *orders*/s ≠ checkout views/s — estimate views, abandoned sessions and retries separately.
- **Labels**: each completed order reveals its delivery time within about an hour — excellent labels. Validate timestamps, cancellations, missing events, and the gap between checkout-view time and order time.
- **Sources**: the order event stream, courier location pings, when restaurants accept and finish orders, and past weather.
- **Features**: entity (restaurant median prep, courier vehicle); streaming (restaurant queue now, courier supply in zone, prep-time drift last hour); request context (route distance, cart size,

time, rain).

- **Baseline**: per-restaurant average + distance term — ships fast, tests logging and evaluation. **Upgrade**: GBDT on all features, benchmarked on CPU.

### Step 5: architecture (minutes 12–30)

Online inference: nobody knows the kitchen queue or the route until the customer is at checkout.

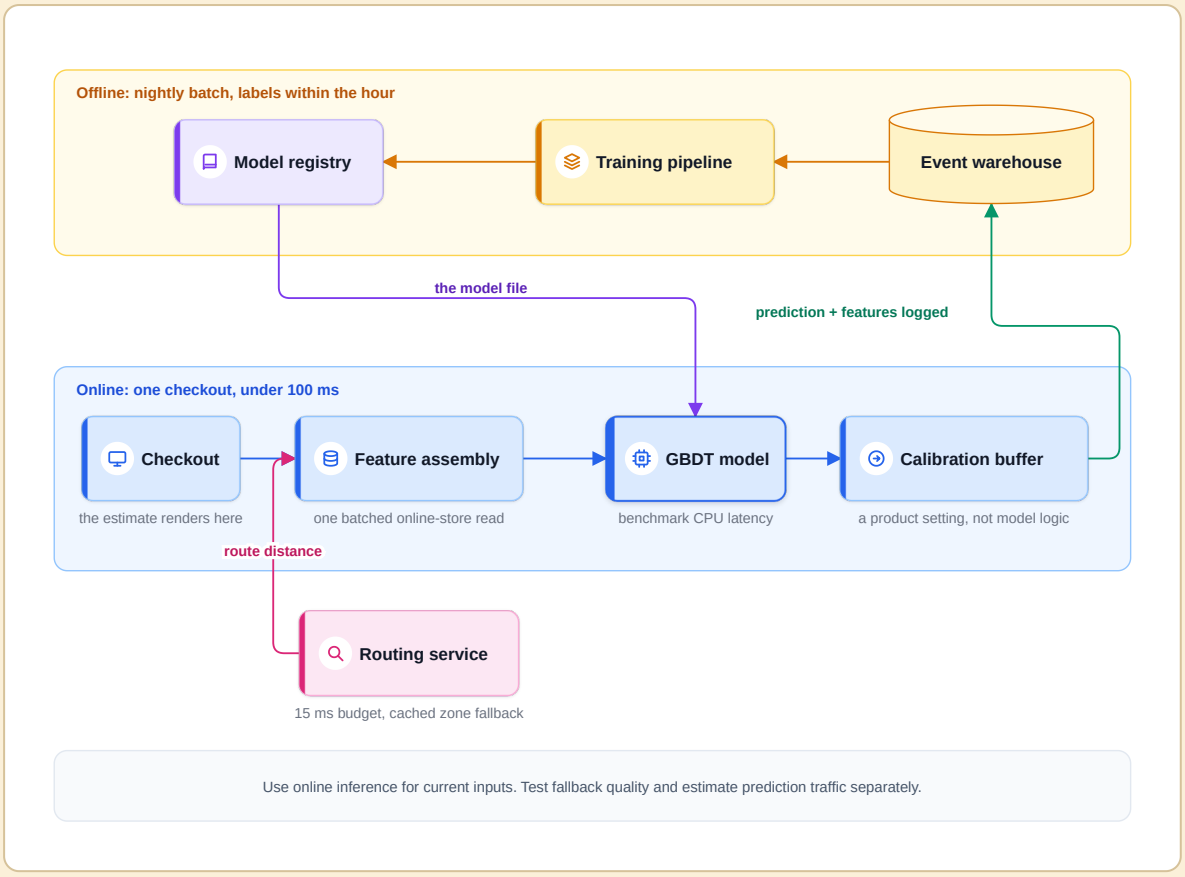
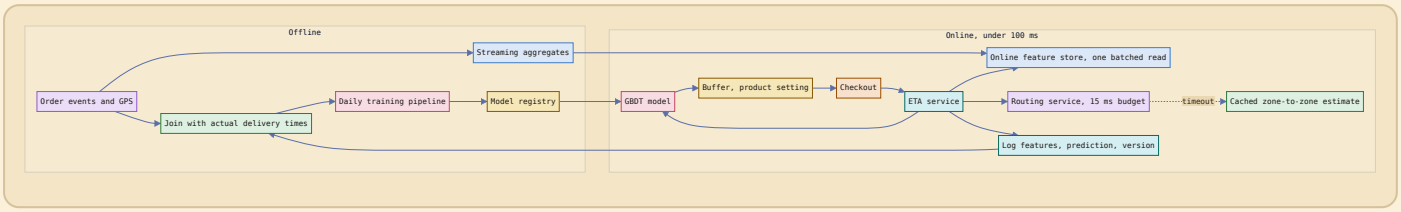



*Figure — ETA platform end to end (course diagram)*




Three points to say out loud:

1. **Routing is where latency goes wrong** — an external dependency on every checkout. Give it a budget (15 ms) with a cached zone-to-zone fallback, and train/evaluate with that approximation so degradation is measured.
2. **Log predictions with the exact features used** — kills skew; join outcomes when orders complete, validating timestamps, ID matches, duplicates and late events.
3. **A buffer layer after the model** — displayed ETA = prediction + buffer. A bigger buffer keeps more promises but makes the restaurant look slower than rivals; it's a **product** setting, not hidden in the model (see Chapter 15's buffer curve).

### Steps 6–7: loop, failures, cost (minutes 30–40)

- **Monitoring**: freshness & nulls → input distributions (a new city skews distances) → prediction distribution (if the mean promised time keeps rising, the business needs to hear about it) → MAE on completed orders by prediction hour, **per city, restaurant type, weather**.

- **Retraining**: daily to start, checked against data maturity, measured decay and cost. Evaluate **per segment** before promotion — a better average can hide a worse Manhattan dinner rush.
- **Failures and fallbacks** (rehearsed, never improvised):

| Failure | Fallback |
|---|---|
| Routing service down | Cached zone estimates + wider buffer |
| Feature store stale | Trained-in defaults; freshness monitor fires |
| Model service down | Warm, versioned per-restaurant heuristic table; never block checkout indefinitely — show the fallback or "estimate unavailable" |

- **Cost**: count prediction requests separately from orders; benchmark CPU, replicas, storage, stream processing, routing calls. For a small GBDT, features and routing may cost more than inference — the opposite of LLM systems.

### What each level sounds like

- **Mid**: the right components with prompting (GBDT, feature store, daily retrain, dashboard), but gaps between them — features not logged, routing unbudgeted, MAE only global.
- **Senior**: unprompted label timing and validation, features logged with predictions, routing budget + trained-in fallback, per-segment promotion via shadow and canary.
- **Staff**: separates model from promise (business owns the buffer), starts with the baseline to prove logging and evaluation, compares inference vs pipeline vs routing cost, builds a platform for future models.

### Follow-ups to drill

- **p99 creeps past 100 ms, profiling blames feature reads** → one batched read, in-process cache for hot restaurants, defaults for the slowest aggregates, and drop features that cost more milliseconds than they add accuracy.
- **Product wants ETAs on the restaurant list (100× checkout traffic)** → a hundredfold routing load breaks the latency and cost budgets. Serve browsing from batch estimates per zone and restaurant; keep the live path for checkout, where the figure becomes a commitment.
- **New city, zero history** → distance baseline + priors from the most similar city; monitor it as its own segment; labels arrive within hours, so retrains fold it in within days.
- **A storm doubles delivery times this evening** → input drift fires (weather), then prediction drift, then hourly MAE; training data may hold no storm this severe. Fastest lever: widen the buffer (product decision) while a triggered retrain absorbs tonight's labels.

### Same structure, different problem

- **Delivery date on a retailer's product page** → labels take days, monitoring slows, the buffer matters more; batch per zone × warehouse, online only at checkout.
- **Freight ETA across a country** → multi-day horizons, sparse GPS, thousands (not millions) of predictions; less QPS work, more label quality, per-segment accuracy and dispatcher overrides.

### Now you (40 minutes each, out loud)

1. **Subscription churn** — "churned" is known only 30 days later; let that reshape training windows, monitoring and retraining.
2. **Ride-hailing price estimate** — surge makes freshness paramount; seconds-level aggregates; routing on every screen render. For both: when labels arrive, what happens with no prediction, and which component dominates cost.

### TL;DR

Per-request inference (live queue, route); labels within the hour; routing budgeted, cached, its absence rehearsed in training; features logged with predictions; buffer owned by product; per-segment monitoring and promotion; features and external calls outweigh small-model inference cost.

---

## Chapter TL;DR

- **Five pieces, two planes**; models flow to serving, logs flow back.
- **Skew**: one set of feature definitions, as-of joins, train on logged serving features (Rules of ML #29, #32, #37).
- **Labels** have a source, cost and delay; downsample then recalibrate ($p = wq / (wq + 1 - q)$); split by time.
- **Features**: entity / aggregates / context / cross; batch, streaming, request-time; feature store = offline history + online latest.
- **Inference**: request-time inputs → online; stable and reused → batch; events → streaming; big catalogs → precompute-then-rerank.
- **Serving**: stateless, budgeted, CPU first, shadow → canary → ramp, explicit fallback.
- **Offline metrics**: PR-AUC + thresholds, recall@k + NDCG, MAE/RMSE + p90 + cohorts, calibration, always vs baseline.
- **Monitoring**: health → inputs → predictions → outcomes; investigate before retraining; watch feedback loops.
- **A/B tests**: predeclared unit and metrics, powered sample, whole weeks, no peeking.
- **MLOps** makes all of this happen every time: tracking, versioning, validation, registry, CI/CD/CT, gated promotion.